



**St. Vrain Valley
Community Watchdogs**
neighbors united for clean air

P O Box 82/Hygiene/CO 80533-0082
online at www.stvrainwatchdogs.org

Permit Number **M-1977-208** 4-20-04
Class: ☐ Permit
Section/Exhibit: **Cemex: Lyons Quarry**
Class: ☐ Revision
Type/Seq: **RE: CKD@CEMEX**
Class: ☐ Report ☐ Hydro ☒ General
Doc Type: **To: DMG From: St. Vrain Valley Community Watchdogs**
☐ Application (Coal only) ☐ Bond ☐ Enforcement ☐ Inspection

APR 20 2004

April 14, 2004

Division of Minerals and Geology

Re: Cemex: Where has the past led us, and where will the future take us? We need a reality check about Cemex.

To: Mr. David Ouimette, Manager, Stationary Sources Program, Colorado Air Pollution Control Division

Mr. Gary Baughman, Program Manager, Compliance Program, Hazardous Materials and Waste Management Division, CDPHE

Mr. Carl Mount, Senior Environmental Protection Specialist, Division of Minerals and Geology, Colorado Department of Natural Resources

Ms. Beth Versaw, President, Boulder County Board of Health

Mr. Paul Danish, Mr. Ron Stewart, Mr. Tom Mayer, Boulder County Board of County Commissioners

Mr. Robert Friend, Office of the Administrator, Mine Safety and Health Administration

On November 8, 2002, Cemex ran a full page advertisement in the Daily Times-Call entitled: "10 Frequently Asked Questions Regarding Tire Derived Fuels at Cemex, Lyons Cement Plant." This advertisement concludes with a guarantee for the public:

"We all live in this community so I want to insure that any action our plant takes is safe for our families' health and yours. This approach allows us all to make informed and wise decisions." (Plant manager)

Reality Check: Here's what has been found at Cemex-Lyons.

- **\$282,000.00 fine for violations of air quality laws and regulations:**

In 2003 inspectors from the Boulder County Health Department and the Colorado Air Pollution Control Division took decisive action at Cemex through a series of **unannounced** inspections. The inspectors found significant problems and cited the facility for non-compliance with its operating permit and for air pollution violations. This matter was eventually finalized in a Compliance Order on Consent in the Matter of

Cemex Inc., and fines of \$282,000.00. Mike Oatley, editor of The Old Lyons Recorder, reports that "the fines are among the largest fines ever levied for air quality violations in Colorado." (March 4, 2004)

- **"Three-Foot-deep piles of dust"**

In 2003, a Cemex employee came forth with three hours of video footage taken inside the facility which not only confirm citizens' complaints, but shows the problem is much worse than even the neighbors realized. The following is quoted from editor Pamela White's investigative report: "Concrete Evidence: Whistle-blower Gives Boulder Weekly an Inside Look at Conditions at Cemex:"

The 3 video tapes show "images of foot-deep piles of dust beneath conveyor belts; conveyor belt covers leaking plumes of dust; foot-deep dust on walkways; dust-covered cables crossing walkways; open transformer and breaker boxes; ceiling beams buried beneath six-inch-high piles of cement dust; oil-soaked rags tied around leaking machines; pipes swathed in duct tape; three-foot-deep piles of cement dust on roofs, particularly the *A-Frame*. ('If that much built up on the roof, think how much went into the air,' the insider says in the tape narration. ')" (Boulder Weekly, November 20, 2003, p. 11)

Mike Oatley, editor of The Old Lyons Recorder writes that "the plant operated an *A-frame* used to store clinker—a predecessor to finished Portland cement—without any pollution control devices in place at all between April 2001 and August 2003 while reporting that it was using a baghouse of 99% efficiency on the *A-frame*. The order states, 'At the time [the company reported that a baghouse was in place], there was no baghouse on the *A-Frame*...and had not been such a baghouse for at least two years.'" (March 4, 2004)

Margie Perkins, the Director of the Colorado Air Pollution Control Division, advised the Boulder Weekly on February 26, 2004 that, "the real issue at Cemex is one of overall management of environmental compliance."

- **Legacy Burden:**

In 2003, Mary Lou Dobbs, Executive Director of the Environmental Justice Project, requested an inquiry into recently uncovered inter-office memos in a Boulder County Land Use Department docket written by inspectors from the Colorado Department of Public Health and Environment. The inspectors wrote that it was discovered in December of 1990 that personnel at the facility "were burning waste or used oil in addition to other fuels." The inspectors determined that the facility had been burning waste oil and other solvents since about 1975 and,

"a rough estimate of quantities burned, based on three tanker trucks per day and 6700 gallons/load is 20,100 gallons/day x 5 day/week x 52 week/year resulting in an annual quantity of 5,226,000 gallons." (Inter-Office Communication from Tom Tistic, APCD, Stationary Sources Program, dated February 28, 1991)

This facility may have burned in excess of 80 million gallons of oils and solvents from 1975 to 1990. The burning ceased shortly after state inspectors discovered that the facility did not have a permit modification for this activity.

- **Cause and Effect:**

For more than a decade, citizens have witnessed fugitive dust events from the facility and suffered the ill effects of this dust--paint discoloration on automobiles, windshields pitted, respiratory problems, and cement dust settling in their homes. The sole motive in the Watchdogs' initiative for better air quality was being able to live without fears of breathing toxic Portland cement dust,¹ and to inform authorities of the problems at this facility.

For years, the Boulder County Health Department and the Colorado Air Pollution Control Division advised Cemex to revise its fugitive dust control plans and to improve housekeeping processes. For whatever reasons, the dust events kept appearing, and residents continued complaining to the Boulder County Health Department and to Cemex.

The Compliance Order on Consent in the Matter of Cemex, Inc has finally given us some relief!!

- **Recent Incidents:**

Three dust complaints were reported to the Boulder County Health Department and to Cemex since the issuance of the Compliance Order.

1. February 27, 2004. Dust plume after blasting activity on spray tower.
2. March 18, 2004. Heavy concentrations of dust in the air about the facility.
3. March 25, 2004. Dust plume from dumping.

These complaints are being investigated by Gabi Hoefler, Inspector, Boulder County Health Department.

¹ Warning printed on a bag of Portland cement: "This product contains greater than 0.1% crystalline silica. Prolonged or occupational exposure to air borne crystalline silica may cause lung disease or cancer. Avoid emitting and breathing dust from this product. Always wear a Niosh-approved respirator when exposed to dry cement dust. Avoid direct contact with skin, protect skin with boots, gloves, clothing. Don't let skin rub against cement products. Keep cement and cement products out of eyes. Always wear safety glasses with side shields."

- **Mine Safety and Health Administration Inspection:**

Editor Pamela White reports in "The Dust Settles," that "the conflict came to a peak this past fall when a whistleblower from Cemex presented the state and Boulder Weekly with videotapes showing deep piles of dust in and around the facility, some of them waist-high. The whistleblower's actions resulted in a month-long inspection of the plant by worker-safety officials from the Mining Safety and Health Administration (MSHA), a branch of the U.S. Labor Department. MSHA issued citations as a result of that inspection, but the reports are not yet available to the public." (Boulder Weekly, February 26, 2004)

- **Review of sufficiency of reclamation bond –recalculated from \$369,100 to \$8,039,100:**

In July of 2003, the Watchdogs received a letter from the Colorado Division of Minerals and Geology informing us that the Division had approved a new cost estimate for the future demolition of the facility and the reclamation of the property to irrigated pasture. The Division increased Cemex's bond from \$369,100 to \$8,039,100.

Here's what Cemex requested:

- **Tire Burning Permit (SU-88-21):**

Cemex is proceeding with its plans to burn tires as fuel using a tire burning permit originally approved for Southwestern Portland Cement Inc in 1990. (See "Legacy Burden" p.2) On April 10, 2003, Cemex notified the Director of the Boulder County Land Use Department that it reserves the right to pursue a claim against the county in that regard.

The Director of the Boulder County Land Use Department determined that the 1990 permit (SU-88-21) is still in force, and Cemex may resume tire burning under this permit. The Sierra Club and the Caribou Springs Ranch Homeowners Association are challenging this decision with a legal action asserting that the Land Use Department violated the law. District Court Judge, Roxanne Bailin, is expected to rule in this matter this summer. Should Judge Bailin rule in favor of the aggrieved parties, then the tire burning permit will be deemed lapsed and of no further force and effect.

If this occurs, Cemex then may apply for a new special use permit to burn used tires as a supplemental fuel. The permitting process affords an opportunity for public hearings before the Boulder County Planning Commission and the Boulder County Board of County Commissioners. In the meantime, continued public awareness and education concerning the issues will hopefully bring more citizens forward to oppose this activity.

What do we do?

• “Large Population at Risk:”

Could improper combustion of tires at Cemex put a large population at risk? **Yes**, according to a team of students in the Environmental Design Department of the University of Colorado who researched and wrote a report entitled: Cemex Corporation Environmental Impact Statement: Cement Kiln Tire Incineration (2003)

Section: Issues and Concerns: (Item 3, page 9) “The Cemex Plant lies in close proximity to the city of Boulder, Colorado. Improper incineration and the release of additional emissions could put a large population at risk.”

Section: Issues and Concerns: (Item 6, page 9) “Cemex has a poor environmental track record for compliance with the EPA. Safety issues are amplified due to the possibility of wide scale negative consequences. Research indicates problems at the Lyons plant as well as other Cemex operations around the country. Proper tire incineration relies on consistent management practices that may not be present at Cemex.”

This EIS was performed under the supervision of Brian Muller of the Environmental Design Department at the University of Colorado at Boulder. This EIS may be the only one available on this local issue. It appears to be an unbiased and a researched document.²

• Health Consultation:

In July of 2003, the Agency for Toxic Substances and Disease Registry (ATSDR) conducted a Health Consultation on the test burn data that was submitted for evaluation.

The ATSDR concluded the concentration of the chemicals detected in the stack gases are unlikely to result in adverse public health effects. (p.13)

ATSDR recommends that agencies with regulatory authority over the Cemex plant regularly inspect the facility, enforce operating conditions that will assure the stack emissions remain within the ranges measured during the source test, and require periodic retesting of the stack emissions.” (p. 13)

² “The authors of this Environmental Impact Statement initiated the planning process through consultation and coordination with the Environmental Protection Agency, the Colorado Department of Public Health, Cemex Corporation, the Sierra Club, local citizens’ action groups and various industry personnel. Scientific journals, technical literature publications, and internet resources were consulted. Writing of this EIS followed a logical progression from scoping procedures to executing the technical evaluation.” (p.6 EIS)

• **Are the Risks Worth It?**

On August 8, 2002, Mike Oatley, the editor of The Old Lyons Recorder wrote in a "Commentary & Opinion" entitled: "Cemex tire burning plan requires a leap of faith,"

"The idea that we should err on the side of caution where human health is concerned,... seems to be the best guiding principle at work in this controversy. Cemex's bottom line is not nearly so significant of a concern."

• **"Good laws rightly applied"**

There is an unmistakable note of urgency in the matter of Cemex-Lyons. The regulatory agencies must continue to act decisively if we are to assert the right to clean air.

E. M. Forster once offered his countrymen words that might guide us in the matter of what to do about Cemex:

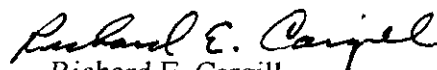
"If you desire to save the countryside there is only one way: through good laws rightly applied... That is your only hope. A little has already been done: much more can be done in the future. It needs men and women of good will who can continue and work together lest destruction spread and cover the fields and the hills."

• **How Can You Help?**

The Watchdogs' respectfully request your support for **MEANINGFUL AND CONTINUOUS AND RIGOROUS AND COMPREHENSIVE OVERSIGHT** in the matter of Cemex-Lyons.

Thank you so much for your considerations!

Sincerely,


Richard E. Cargill

Executive Director

Enclosures:

Compliance Order on Consent In the Matter of Cemex, Inc. (2002-124)

"State Fines Cemex \$280,000," Daily Times-Call, staff writer Trevor Hughes, Jan 24, 04

"Concrete Evidence," Boulder Weekly, editor Pamela White, Nov 20-26, 03

"Cemex Takes Major Hit for Air Quality Violations," The Old Lyons Recorder, editor
Mike Oatley, Mar 4, 04

"Lyons residents May Breathe Easier," Daily Camera, staff writer Aimee Heckel,
Mar 5, 04

"The Dust Settles," Boulder Weekly, editor Pamela White, Feb 26, 04

cc:

Colorado Air Quality Control Commission

State Board of Health

American Lung Association

Ms. Margie Perkins, Director, Colorado Air Pollution Control Division

Mr. Frank Johnson, Assistant Attorney General, State of Colorado

Representative Todd Saliman, District 11, Colorado House of Representatives

Mr. Brian Muller, Environmental Design Department, University of Colorado

Mr. Scott Franklin, Regulatory Office, U. S. Army Corps of Engineers

Mr. Pete Plage, U.S. Fish and Wildlife Service

Ms. Pamela Milmo, Coordinator, Air Quality, Hazardous Waste Prevention Program

Ms. Gabi Hoefler, Boulder County Health Department

Mr. Kirk Cunningham, Sierra Club

Mr. John Barth, Sierra Club

Mr. Judson Hite, Caribou Ranch Homeowners Association

Ms. Mary Lou Dobbs, Executive Director, Environmental Justice Project

Ms. Pamela White, editor, Boulder Weekly

Mr. Mike Oatley, editor, The Old Lyons Recorder

Ms. Aimee Heckel, staff writer, Daily Camera

Mr. Trevor Hughes, staff writer, Daily Times-Call

Mr. Steve Novak, staff writer, Redstone Review

Mr. Jim Kenworthy, editor, Main Street Free Press

Ms. Lindsie Myers, news editor, Campus Press, University of Colorado at Boulder

Ms. Rebecca Dickson, editor, The Bugle, Voice of the Sierra Club, Boulder County

Mr. Jason Wells, editor, Peak & Prairie, Rocky Mountain Chapter of the Sierra Club

Ms. Valerie Edmondson, staff reporter, KGNU, community radio

Watchdogs and interested parties

EPA – Washington D. C., Docket RCRA – 1999-0011



**COLORADO DEPARTMENT OF PUBLIC HEALTH AND ENVIRONMENT
AIR POLLUTION CONTROL DIVISION
STATIONARY SOURCES PROGRAM**

COMPLIANCE ORDER ON CONSENT

2002-124

In the Matter of Cemex, Inc.

The Colorado Department of Public Health and Environment ("CDPHE"), through the Air Pollution Control Division ("Division"), issues this Compliance Order on Consent ("Consent Order"), pursuant to the Division's authority under § 25-7-115(3)(b), C.R.S. of the Colorado Air Pollution and Prevention and Control Act ("the Act") §§ 25-7-101 to -1309, C.R.S., and its implementing regulations, 5 CCR 1001, with the express consent of Cemex, Inc. ("Cemex"). The Division and Cemex may be referred to collectively as "the Parties."

I. STATEMENT OF PURPOSE

The mutual objectives of the Parties in entering into this Consent Order are:

1. To establish compliance requirements and criteria for the continued operation of Cemex' Lyons Cement Plant ("the Plant") located at 5134 Ute Highway, in Lyons, Boulder County, Colorado; and
2. To resolve the violations of the Act and regulations identified herein and as determined by the Division and described below.

II. DIVISION'S FINDINGS OF FACT AND DETERMINATION OF VIOLATIONS

Based upon the Division's investigation into and review of the compliance issues identified herein, and in accordance with § 25-7-115(2), C.R.S., the Division has made the following determinations regarding violations of regulatory, statutory and/or permit requirements associated with the Plant.

3. At all times relevant to the violations cited herein, Cemex was a Louisiana Corporation in good standing and registered to conduct business in the State of Colorado.
4. The Plant, which includes activity at the Dowe Flats Quarry ("the Quarry"), is subject to the following:
 - a. Title V Operating Permit No. 95OPBO082 ("Permit No. 95OPBO082"), issued by the Division to Cemex on February 1, 2000 (revised October 8, 2002), and the applicable requirements of several underlying Construction Permits, including

Permit No.'s 93BO1414F, 94BO593, 98BO0259, 98BO0292 and 98BO0315;

- b. Colorado Air Quality Control Commission ("AQCC") Regulation No. 6, Part A, which incorporates by reference 40 C.F.R. Part 60, Subpart F, Standards of Performance for Portland Cement Plants ("Subpart F"); and
- c. AQCC Regulation No. 8, Part E, Section III.DD, which incorporates by reference 40 C.F.R. Part 63, Subpart LLL, National Emission Standards for Hazardous Air Pollutants From the Portland Cement Manufacturing Industry ("Subpart LLL").

5. Ms. Gabi Hoefler and Ms. Pam Milmoie, of the Boulder County Health Department ("BCHD"), and duly delegated representatives of the Division (hereinafter referred to as "the inspectors"), conducted a series of inspections and surveillances of the Plant in September and November 2002. Based upon a review of the inspectors' observations and other records, the Division has made the following compliance determinations.

6. Cemex is required to operate the Plant's Outdoor Clinker Storage area so that "the drop of clinker to the outside chute shall be managed with a seal between the hopper and material during operation to allow effective operation of the dust collector such that emissions are minimized." On September 30, 2002, the inspectors observed excessive emissions from the clinker pit/clinker load-out area, and noted that, due to the frequency at which the clinker stockpile was being emptied, the hopper's chute-to-stockpile drop distance increased so as to cause the loss of the system's seal and the resultant excess emissions, in violation of Permit No. 95OPBO082, Section II, condition 11.6.8.

7. Cemex is required to ensure that the roads and edges of clinker piles are watered as necessary to abate fugitive particulate emissions. On September 30 and November 19, 2002, the inspectors noted that the haul road south of and behind the Sheltered Clinker Storage Stockpile (the "A-Frame") was dry, and they observed excessive fugitive dust emissions coming from the area, in violation of Permit No. 95OPBO082, Section II, condition 11.6.1.

8. Cemex is required to (1) water, clean on a regular basis, and otherwise manage spills and accumulations of particulate matter on roadways to ensure that such spills and accumulations do not contribute to fugitive emissions during operation; and (2) to suspend or reroute vehicle traffic as necessary to minimize the fugitive emissions from areas with such spills and accumulations. On November 19, 2002, the inspectors noted the paved entrance into the Plant was very dusty and that cement trucks and other vehicles traveling through the area contributed to excessive fugitive dust emissions, in violation of Permit No. 95OPBO082, Section II, condition 11.6.6.

9. On March 26, 2003, Mr. Paul Carr, of the Division, conducted a full compliance inspection of the Plant. Follow-up inspections of the Plant were conducted on May 2 and May 13, 2003 (these March and May 2003 inspections are hereinafter referred to collectively as "the inspections"). Mr. Steve Mossberg, of Cemex, accompanied Mr. Carr during these inspections. Based upon a review of the inspections and other records, the Division has made the following additional compliance determinations.

10. Cemex is required to use permit-specific emission factors in calculating the estimated emissions from sources and activities at the Plant for Air Pollutant Emissions Notice ("APEN") reporting and fee purposes, and to maintain and make available for inspection records of the calculations upon request. The records maintained by Cemex used incorrect emission factors to calculate the Plant's emissions of particulate matter ("PM" and/or "PM₁₀") from the screening and crushing activities, raw material storage silos, Raw Mill Grinding activities, and Homogenizing and Blending activities, in violation of Permit No. 95OPBO082, Section II, conditions 6.2, 7.2, 8.2, 9.2, respectively. Additionally, the records maintained by Cemex used the incorrect emission factor to calculate the emissions of hydrochloric acid ("HCl") from the Plant's Clinker Cooler, in violation of Permit No. 95OPBO082, Section II, condition 10.10. Cemex has corrected the APEN submittals, and properly paid the emission fees.

11. Permit No. 95OPBO082, Section II, condition 10.4 establishes PM emissions limits for the Plant's Kiln and Clinker Cooler. The permit requires Cemex to monitor PM and PM₁₀ emissions and to keep production records. Cemex kept production records, but did not calculate PM emissions based on such production records. Additionally, Cemex should be required to maintain records estimating PM and PM₁₀ emissions, on a monthly basis, and should be required to maintain such records at the Plant. Such emissions estimates should be calculated in the manner prescribed in Subpart F, section 60.64(b)(1-3). Cemex has agreed to perform such calculations and maintain such records.

12. Permit No. 95OPBO082, Section II, condition 10.4.4 requires Cemex to operate the Kiln and Clinker Cooler continuous opacity monitors ("COMs") in accordance with Subpart A, section 60.13. Cemex reported opacity exceedance times to the Division, but the exceedance times were not calculated in the manner specified by Subpart A, section 60.13(h). Cemex has since changed its practice to calculate opacity exceedance times as specified in Subpart A, section 60.13. As a mitigating factor, Cemex asserts that it over reported opacity violations.

13. Cemex is required to ensure that the paved travel areas used by the front-end loaders and paved areas of particulate emission producing sources are (1) swept regularly with a high efficiency vacuum sweeper to minimize material buildups, (2) watered as necessary, and (3) vehicle traffic suspended or rerouted if fugitive emissions become a concern. Mr. Carr observed significant material buildup and fugitive emissions from the paved areas near the Plant's Outdoor Clinker Storage area, the result of spillage from the front loader during transference of material from the clinker drop area to the stockpile areas. Water trucks and the vacuum sweeper vehicle were observed on several occasions during the inspections; however, based upon observations made on March 26, May 2 and May 13, 2003, the frequency of material deposited on the paved areas from the handling of clinker in the Outdoor Clinker Storage area exceeds Cemex' ability to minimize fugitive emissions, in violation of Permit No. 95OPBO082, Section II, conditions 3.5.6 and 11.6.6.

14. During the inspections, Mr. Carr observed excessive emissions from the Plant's Outdoor Clinker Storage area, noting that, as during the 2002 inspection discussed in paragraph 6 above, such emissions were the result of Cemex' failure to maintain a seal between the hopper and material during loading operations.

15. Cemex is required to ensure that the haul roads in the area of the Plant's handling/processing of cement kiln and raw material waste dust are adequately watered to achieve a minimum control efficiency of 80%. During the inspections, no indication of watering of the haul road into the Quarry's cement kiln dust ("CKD") disposal pit was observed, in violation of Permit No. 95OPBO082, Section II, condition 13.5.3.

16. Permit No. 95OPBO082, Section II, condition 13.5.4 requires Cemex to ensure that material at the Quarry's CKD disposal pit be compacted and stabilized to minimize emissions. During the inspections, no evidence of compacting or stabilization of cement kiln and other waste dust was observed at the disposal pit beyond the leveling of pit's brim.

17. Cemex is required to ensure that a sprinkler system is operated as necessary to effectively control emissions at the Quarry's disposal area. During the March 26, 2003 inspection, the sprinkler system was not in operation although the disposal pit contained very dry and non-compacted material. During the May 2 and May 13, 2003 inspections, the sprinkler system failed to apply water to the center of the Quarry's disposal pit, where cement kiln dust ("CKD") was deposited. Thus, Cemex failed to operate the sprinkler system as necessary to effectively control emissions in violation of Permit No. 95OPBO082, Section II, condition 13.5.6.

18. Permit No. 95OPBO082, Section II, condition 16 requires Cemex to conduct a daily walkthrough to look for visible emissions at the Plant (except at the Kiln and Clinker Cooler). Cemex is required to document the observations and to ensure that the provisions of the fugitive dust control plan, and any additional action, if necessary, are implemented when excessive emissions are observed from the Plant's fugitive sources. Cemex recorded daily walkthroughs, but failed to document and implement corrective action for the recurring excessive emissions from the Plant's Outdoor Clinker Storage area noted by the inspectors. Cemex has agreed that, beginning immediately, it shall document and record complaints and violations observed by inspectors, contractors, citizens and employees, and shall implement and document appropriate corrective actions.

19. Cemex is required to report any deviation from permit requirements, including those attributable to upset conditions. Records indicate that Cemex failed to identify an upset condition that occurred on April 1, 2002 in the August 2002 semi-annual deviation report, in violation of Permit No. 95OPBO082, Section IV, conditions 21 and 22(d). Since then, Cemex has filed the appropriate reports.

20. Meetings were held in December 2002, on March 11, June 18, July 22, September 9, September 25, October 22 and November 20, 2003, during which the Parties discussed the above-related issues.

21. During June and July 2003, Mr. Carr conducted additional inspections at the Plant. Based upon a review of these inspections and other records, the Division has made the following additional compliance determinations.

22. On June 30, 2003, Mr. Carr documented the following six-minute average opacity

readings from the identified emissions sources at the Plant¹:

- a. 28.3% from the A-Frame; and
- b. 26.9% from the transfer point at the top of the A-Frame.

On July 2, 2003, Mr. Carr documented the following six-minute average opacity readings from the identified emissions sources at the Plant:

- c. 35.2% from Outdoor Clinker Storage Pit;
- d. 24.8% from the A-Frame; and
- e. 22.1% from Finish Mill's Auxiliary Dust Collector.

Cemex operated the emissions sources identified in a-d above in violation of Permit No. 95OPBO082, Section II, condition 24.10.4; Subpart LLL, section 63.1348; and AQCC Regulation No. 1, Part II.A.1. Cemex operated the emissions source identified in e above in violation of Permit No. 95OPBO082, Section II, condition 24.10.3; Subpart LLL, section 63.1347; and AQCC Regulation No. 1, Part II.A.1. Cemex shutdown the A-Frame, effective July 2, 2003.

23. Cemex, in accordance with Section 2.2 of its Operation and Maintenance Plan ("O&M Plan")² for the Plant's emissions sources subject to Subpart LLL, is required to inspect the Plant's affected dust collectors "for leaks in ducts, housings and hoppers, check timers, check exhaust for dust, check differential pressure and pulse mechanisms" on a weekly basis. This requirement under Subpart LLL became effective on June 14, 2002. On July 2, 2002 EPA partially withdrew Section 63.1350(a)(4)(v) through (vii). On December 6, 2002 EPA promulgated a final rule for Subpart LLL, including Section 63.1350(a)(4)(vi) and (vii). Cemex Permit No. 95OPBP082 was amended on October 8, 2002 to incorporate the Subpart LLL requirements, including the O&M Plan. Records indicate that Cemex failed to inspect this equipment from June 13, 2002 through July 1, 2003, in violation of Permit No. 95OPBO082, Section II, condition 24.4.2 and Subpart LLL, sections 63.1350(a) and 63.1350(b). The O&M Plan will be revised during the Title V renewal.

24. Monthly visible emissions tests performed on the A-Frame from June 14, 2002 through July 1, 2003, did not include each side and vent of the building as required by Subpart LLL, section 63.1350(a)(4)(vii). Furthermore, Cemex failed to conduct 6-minute tests of opacity in accordance with Subpart LLL, section 63.1350(a)(4)(iv) within one hour of visible emissions observed during Method 22 tests conducted on June 20, September 27, and October 22, 2002.

25. Construction Permit No. 98BO0259, condition 10, which is incorporated into Operating Permit No. 95OPO082, requires emissions from the Plant's A-Frame to be exhausted through a baghouse. From April 2001 through August 2003, Cemex operated the Plant's A-Frame without the required baghouse in violation of Permit Nos. 98BO0259 and 95OPO082.

¹ Using U.S. EPA Reference Method 9, recorded on the Division's Visible Emissions Observation form.

² CEMEX' O&M Plan was submitted to the Division on or about June 13, 2002.

26. On or about June 20, 2003, Cemex filed an Air Pollution Emission Notice ("APEN") that estimated controlled emissions of 0.82 tons/year of PM and 0.41 tons/year of PM₁₀. The APEN identified a baghouse with an overall collection efficiency of 99% as the pollution control equipment on the A-Frame transfer point. At the time the APEN was filed, there was no baghouse on the A-Frame transfer point, and had not been such a baghouse for at least two years. Actual emissions from the point were higher than the emissions rate reported in the APEN.

27. Cemex was required to submit to the Division a revised APEN for and prior to operating the A-Frame without the baghouse. This APEN was to reflect the changes in the operation and the corresponding changes in PM/PM₁₀ emissions and permit limitations. Cemex failed to submit a revised APEN for these changes with the Plant's A-Frame, in violation of AQCC Regulation No. 3, Part A, Section II.C.1 (a, c and d).

28. In 2001, 2002, and 2003, emissions of PM and PM₁₀ from the Plant's A-Frame exceeded permitted emissions limits in violation of Permit No. 95OPBO082, Section II, condition 11.3. PM emissions may not to exceed 0.82 tpy. PM₁₀ emissions may not exceed 0.41 tpy, 0.05 tons per month, or 7.5 pounds per day.

29. Cemex failed to pay annual fees for the excess PM and PM₁₀ emissions from the Plant's A-Frame from April 2001 through August 2003, in violation of Permit No. 95OPBO082, Section IV, condition 8(a) and § 25-7-114.7(2)(a)(I), C.R.S.

30. Cemex failed to operate the Plant's A-Frame from April 2001 through August 2003 in a manner consistent with good air pollution control practices for minimizing emissions, in violation of Permit No. 95OPBO082, Section II, condition 19, and 40 C.F.R. Part 60, Subpart A, section 60.11(d).

31. The Division, based on available information, and after making reasonable inquiries, has determined that the dust control equipment required for the control of PM and PM₁₀ emissions from the A-Frame has been inoperative since at least April 2001 through August 2003. Cemex therefore failed to operate the Plant's A-Frame in continuous compliance with the permit conditions and limits during this time. However, Cemex reported in its 2001 and 2002 Annual Compliance Certifications submitted to the Division that the A-Frame was operated at all times in compliance with the permit requirements, in violation of Permit No. 95OPBO082, Section IV, condition 2(a) and AQCC Regulation No. 3, Part C, Section III.B.9.

32. As discussed above, Cemex stopped operating the A-Frame on July 2, 2003. The problems with the A-Frame require Cemex to stop using the A-Frame until the problems can be remedied, as set out below. In the meantime, the only way for Cemex to continue operations is to store clinker at the outdoor clinker storage area, which is identified in the operating permit as P010A. Permit No. 95OPBO082, section II, condition 11 limits material handling at the outdoor clinker storage area to 180,000 tons of clinker per year. Cemex has already reached, or is close to reaching that limit.

33. Cemex has performed additional internal due diligence and voluntarily disclosed

that there are several permit hygiene issues that need to be rectified during the Title V permit renewal process. Cemex Title V renewal application is due in February 2004. Specifically there are two dust collectors for CKD storage that are not permitted. These are identified as plant equipment #525-28 (dust collector for silo A5) and #825-7 (CKD Loadout spout dust collector). This process was relocated from the waste dust silo and dust collector in 1996. The underlying construction permit (Permit No. 98BO0315) does not list this equipment relocation. Instead, it improperly shows the existing dust collectors for silo A5 and A2 (#825-3) and cement loading spout (#825-4) controlling this process. That construction permit design was changed after the initial approval permit was issued, and a final permit was never obtained. The error was not corrected in the Title V permitting process.

34. The Division and Cemex entered into settlement discussions for the violations as determined by the Division. The Parties reached a settlement agreement that is detailed in this Consent Order.

III. ORDER and AGREEMENT

Based on the foregoing factual and legal determinations, pursuant to its authority under § 25-7-115, C.R.S., and in satisfaction of the violations identified herein, the Division orders, and Cemex agrees to the following:

35. Cemex agrees to the terms and conditions of this Consent Order. Cemex agrees that this Consent Order constitutes an order issued pursuant to § 25-7-115, C.R.S., and is an enforceable requirement of Part 7 of the Act. Cemex also agrees not to challenge:

- a. The issuance of this Consent Order;
- b. The factual and legal determinations made by the Division herein; and
- c. The Division's authority to bring, or the court's jurisdiction to hear, any action to enforce the terms of this Consent Order under the Act.

36. Notwithstanding the above, Cemex does not admit to any of the factual or legal determinations made by the Division herein, and any action undertaken by Cemex pursuant to this Consent Order shall not constitute an admission of liability by Cemex with respect to the conditions of the Facility. Specifically Cemex asserts that there has been no off-site transport of fugitive dust during any of the above inspections, and no harm to human health or the environment.

Compliance Requirements

37. Effective immediately, Cemex shall:

- a. Use the emissions factors specified in the applicable permit conditions for all

records, calculations and reports. This provision shall not be construed to prevent Cemex from amending its permit to revise such emission factors where appropriate; and

- b. Calculate PM emissions from the Plant's Kiln and Clinker Cooler in the manner prescribed in 40 CFR, Subpart F, section 60.64 for all records, calculations and reports.

38. Regarding activities at the Quarry, Cemex has voluntarily agreed to implement additional forecast and control measures to minimize the risk of fugitive emissions during blasting activities.

- a. Cemex will monitor and record local weather forecast information for the current day prior to loading explosives in any drill hole. The forecasts at a minimum shall include anticipated wind speed and direction. Records of the forecasts shall be kept on file at the plant and made available upon request for no less than 2 years.
- b. Cemex will postpone the loading of explosives if the wind speed is forecasted to be greater than 20 miles per hour at the time of the planned blast.
- c. Cemex will record the actual blast with a video camera, which is to be positioned on the large overburden hill at the south end of the quarry. Each recorded blast shall capture the detonation and the tracking of the ensuing dust plume until the plume's opacity dissipates to less than 5% opacity. The video record will be kept on site and made available upon request for no less than two years.

39. Regarding activities in and around the Plant's Outdoor Clinker Storage pit, effective immediately, Cemex shall, at a minimum, implement the following systematic program to minimize fugitive emissions:

- a. During the day shift, Cemex will operate the powered sweeper on a full time basis, 12 hours per day, 7 days a week. Operation of the sweeper will be the sole assignment of the individual assigned such sweeping duty. During the day shift, the Outdoor Clinker Discharge area will be swept at least every 2 hours while diverting clinker to the pit.
- b. During the night shift, the Outdoor Clinker Discharge area shall be swept or watered at least every two hours while diverting clinker to the pit.
- c. Sweeping and watering will occur according to this schedule except under the following circumstances: Wet pavement, snow/ice covered pavement, or during a shutdown of the crushing/drying and kiln system for greater than 24 hours.

40. Cemex shall install two capture hoods: one over the outside clinker drop, and one over the #6 outside clinker reclaim hopper. Cemex shall amend its permit to require such hoods. Each hood shall be approximately 20 feet wide, 10 feet deep, and 20 feet higher, but such hood

design and dimensions may be varied through the permitting process as appropriate to maximize air pollution control. The hood shall vent to a supplementary dust collector with a rated capacity sufficient to comply with the relevant opacity standards. Cemex shall submit a complete application, as defined in Regulation No. 3, for a permit amendment for such hoods within 30 days of the effective date of this order. Construction of such hoods shall be completed as soon as practicable after Division approval of such permit amendment. Cemex shall not operate the #6 outside clinker reclaim hopper until the hood and supplementary dust collector for such hopper are completed.

41. Cemex shall use a water truck to minimize fugitive particulate emissions from roads and other traffic areas, loading areas, the edges of clinker piles, and other sources of fugitive particulate emissions. At a minimum:

- a. During the day shift, Cemex will operate the plant based water truck on a full time basis, 12 hours a day, 7 days a week. Operation of the water truck will be the sole assignment of the individual assigned such duty. Watering will occur according to this schedule except under the following circumstances: Freezing conditions, snow/ice covered roads, rain, or during a shutdown of the crushing/drying system and the kiln system for greater than 24 hours. As used here, the term "freezing conditions" means weather conditions severe enough to clog the water truck due to freezing. Cemex shall take reasonable precautions, including but not limited to storing the water truck in a heated garage at night, to prevent such freezing conditions.
- b. The water truck shall be operated during nights as necessary to water such areas adequately to control particulate emissions.

42. To minimize fugitive dust emissions associated with the Plant's CKD disposal site, and effective immediately Cemex shall:

- a. Operate an automated sprinkler system to water the active CKD disposal site.
 - i. Sprinklers will be set for 10 minutes or longer on each station. Cycle times will be set for at least once cycle every two hours, except Cemex may reduce watering if the CKD disposal area is too wet for equipment operations.
 - ii. The sprinklers will be positioned to cover 100% of the active CKD disposal area.
 - iii. The sprinkler system will be in service from mid-April through mid-October each year, except during rain, snow, or freezing condition.
- b. Water trucks will be used to water the active CKD disposal area as follows:
 - i. The access road and will be watered at least every three hours during

the day, and as needed at night to minimize fugitive emissions. Watering may be reduced or suspended during cold weather if the road is ice covered and such ice cover is sufficient to minimize fugitive emissions.

- ii. When the sprinklers are not in service, water trucks will be used to water the active disposal area at least every 3 hours during the day, and as needed at night to minimize fugitive emissions.
 - iv. Water truck operation as previously described will occur except in the following circumstances: freezing conditions, rain, or snow. As used here, the term "freezing conditions" means weather conditions severe enough to clog the water truck due to freezing. Cemex shall take reasonable precautions, including but not limited to storing the water truck in a heated garage at night, to prevent such freezing conditions.
- c. Cemex agrees to limit the active disposal or working area of the CKD storage pit to 3 acres at any time.
- i. Inactive or unused portions of the pit shall be covered with rock or treated with hygroscopic materials to minimize fugitive emissions.
 - ii. Signage or berms should be used to delineate the 3 acre active disposal area.
- d. Cemex shall compact and stabilize the CKD disposal pit as required by 95OPB0082, section II, condition 13.5.4.

43. Cemex shall treat haul roads with a magnesium chloride or calcium chloride solution as often as necessary to maintain a surface crust, as required by permit condition 13.5.3. Such solution shall be applied to the haul road to the CKD disposal pit at least every six months. The solution shall have a concentration of at least 32 percent magnesium chloride or calcium chloride by weight. As an alternative, Cemex may substitute another hygroscopic material, so long as such treatment is at least as effective as the solution described in this paragraph in controlling fugitive emissions.

44. Cemex shall document all reported observations or complaints from citizens, inspectors, contractors, or employees of fugitive or excess emissions. Cemex will investigate each occurrence and will document its findings and any corrective action taken or implemented.

45. Cemex shall install and begin continuous operation of dust control equipment within the A-Frame, but in no case shall Cemex install such equipment prior to Division approval of the requisite revision to the construction permit. Cemex shall submit a complete application, as defined in Regulation No. 3, to amend its permit to require such dust control equipment within 30 days of the effective date of this order. Cemex shall construct such dust

control equipment as soon as practicable after approval of such permit application. Cemex shall not operate the A-Frame until such dust control equipment is permitted and operating. The application for a permit revision shall include an amendment to Attachment A to the construction permit to remove the requirement for a stacker belt conveyor with an adjustable discharge height, unless Cemex installs such control equipment in compliance with the construction permit. Cemex shall conduct a performance test of the A-Frame's dust control equipment as soon as practicable after construction of such dust control equipment. Cemex shall provide the Division with a minimum of thirty (30) days notice of the scheduled performance test.

46. Cemex shall submit to the Division a Title V renewal application with the appropriate changes, including a request to modify Permit No. 95OPBO082 to incorporate the terms and conditions identified in paragraphs 36 (b and c) through 44 above as well as other clarifying modifications within thirty (30) calendar days of the effective date of this Consent Order.

47. Cemex shall, within sixty (60) calendar days of the effective date of this Consent Order, submit the following documentation to the Division:

- a. Revised Annual Compliance Certifications for years 2000, 2001 and 2002 reflecting the actual compliance status of the Plant, including that of the A-Frame operation from February 2000 through December 2002; and
- b. Revised APENs reflecting the actual (uncontrolled) PM and PM₁₀ emissions from the A-Frame for the period from April 2001 through August 2003.

48. Based on the APENs submitted by Cemex and identified in paragraph 46(b) above, the Division shall calculate the fees for the excess emissions from the Plant's A-Frame from April 2001 through August 2003, and Cemex shall pay these additional fees within fifteen (15) calendar days of receipt of the Division's request for such payment.

Administrative Penalty Requirements

49. Based upon the factors set forth in § 25-7-122, C.R.S., the Division has determined a penalty in the amount of Thirty-Seven Thousand Four Hundred and Sixty Dollars (\$37,460.00) against Cemex is appropriate and consistent with the Division's policies for violations of the Act and its implementing regulations cited in Section II of this Consent Order. Cemex agrees to pay the sum of Thirty-Seven Thousand Four Hundred and Sixty Dollars (\$37,460.00) in administrative penalties. Payment is due within thirty (30) calendar days of the effective date of this Consent Order by certified or cashier's check drawn to the order of "Colorado Department of Public Health and Environment" and delivered to the attention of Legal Administrator, Air Pollution Control Division, 4300 Cherry Creek Drive South, Denver, Colorado 80246-1530.

50. The Plant is a stationary source that is subject to the noncompliance penalty provisions of the Act as set forth in § 25-7-115(5)(a)(i), C.R.S., and is required to calculate and

pay any economic benefit derived from the noncompliance issues described above. The Division has approved Cemex' calculated noncompliance and economic benefit penalty of Ninety-Four Thousand Eight Hundred and Thirty-Nine Dollars (\$94,839.00) and Cemex shall pay the penalty within thirty calendar (30) days of the effective date of this Consent Order. Such payment shall be made by certified or cashier's check as described in paragraph 48.

51. For the period April 1, 2004 through December 31, 2004, Cemex shall pay stipulated penalties in the amount of \$10,000 per month for each month that it exceeds the 180,000-ton per-year limit on the amount of clinker handled at the outdoor clinker storage area, P010A. The calculation of the 180,000 ton per year permit limit on the amount of clinker handled at the outdoor storage area (P010) for the purposes of 2004 shall begin on April 1, 2004 as the A frame will not be in operation until that date. Payment of such stipulated penalties shall be due 30 days after the end of the month of such violation, and shall be made by certified or cashier's check as described in paragraph 48. Cemex shall comply with the permit limit on the amount of clinker handled at the outdoor clinker storage area after December 31, 2004. This provision for stipulated penalties for such violations shall not apply after December 31, 2004. Violation of such limit after December 31, 2004 shall be subject to enforcement as a new violation of a permit term.

Supplemental Environmental Project Requirements

52. In order to settle the matters contained herein, and in addition to the penalties identified in the "Administrative Penalty Requirements" section above, Cemex agrees to perform a Supplemental Environmental Project ("SEP"), which the Parties agree is intended to secure significant environmental or public health protection and improvements. Cemex's total expenditure for the SEP shall be not less than One Hundred Forty-Nine Thousand Eight Hundred and Forty Dollars (\$149,840.00). Cemex is currently performing an engineering analysis for SEP projects and will provide the Division with a SEP proposal within 180 calendar days of the Effective date of this Consent Order. If the Division rejects this proposal, Cemex shall have 60 days after receiving notice of this rejection to submit an alternate SEP proposal for consideration by the Division.

53. The SEP proposal and the SEP shall comply with CDPHE's SEP Policy.

54. The SEP performed by Cemex may not be any project that it is required to perform or develop by any federal, state or local law or regulation, and it may not be one that Cemex is required to perform or develop by any agreement, grant or injunctive relief in this or any other case. Cemex hereby certifies that it has not received, and is not presently negotiating to receive, credit in any other enforcement action for the SEP.

55. Unless both parties agree to another date in writing, Cemex shall submit a SEP Completion Report to the Division by December 31, 2004. Cemex agrees that failure to submit the SEP Completion Report with the required information, or any periodic report, shall be deemed a violation of this Consent Order and Cemex shall become liable for penalties as a violation of this Consent Order. The SEP Completion Report shall contain the following information:

- a. A detailed description of the SEP as implemented;
- b. A description of any operating problems encountered and the solutions thereto;
- c. Itemized costs documented by copies of purchase orders and receipts or canceled checks;
- d. Certification that the SEP has been fully implemented pursuant to the provisions of this Consent Order; and
- e. A description of the environmental and public health benefits resulting from implementation of the SEP (with quantification of the benefits and pollutant reductions, if feasible).

56. Unless both parties agree to another date in writing, the SEP must be completed to the satisfaction of the Division by December 31, 2004, and must be operated for the useful life of the SEP. If Cemex fails to fully and satisfactorily implement a SEP within this time period or fails to operate the SEP for its entire useful life, the Division shall provide written notice of such failure and a demand for payment of the amount of One Hundred Forty-Nine Thousand Eight Hundred and Forty Dollars (\$149,840.00). Notwithstanding the approval of any SEP expenditures previously submitted to the Division, the amount of One Hundred Forty-Nine Thousand Eight Hundred and Forty Dollars (\$149,840.00) shall be paid to the Division within thirty (30) calendar days of receipt of a demand for payment by the Division.

57. Cemex shall include in any public statement, oral or written making reference to the SEP the following language: "This project was undertaken in connection with the settlement of an enforcement action taken by the Colorado Department of Public Health and Environment, Air Pollution Control Division, for violations of air quality laws and regulations."

IV. SCOPE AND EFFECT OF CONSENT ORDER

58. The Parties agree and acknowledge that this Consent Order constitutes a full and final resolution of the matters addressed herein, and further agree not to challenge the terms and conditions of this Consent Order in any proceeding before any administrative body or any judicial forum, whether by way of direct judicial review or collateral challenge.

59. This Consent Order constitutes a final agency order upon execution by Cemex and the Division and shall be enforceable by either party in the same manner as if the Division had entered this Consent Order without agreement by Cemex. The Parties agree that any violation of the provisions of this Consent Order by Cemex concerning the Act, or its implementing regulations, shall be a violation of a final order of the Division for the purposes of §§ 25-7-115, 121, and 122, C.R.S., and may result in the assessment of civil penalties of up to Fifteen Thousand Dollars (\$15,000.00) per day for each day of such violation.

60. The Parties' obligations under this Consent Order are limited to the matters expressly stated herein or in approved submissions required hereunder. All submissions made pursuant to this Consent Order are incorporated into this Consent Order and become enforceable under the terms of this Consent Order as of the date of approval by the Division.

61. The Division's approval of any submission, standard, or action under this Consent Order shall not constitute a defense to, or an excuse for, any prior violation of any requirement under the Act, or any implementing regulations under the Act, or any subsequent violation of any requirement of this Consent Order, the Act, or its regulations.

62. Entering into this settlement shall not constitute an admission of violation of the air quality laws by Cemex, nor shall the Division or any third party infer it to be such an admission by Cemex in any administrative or judicial proceeding. The described violation will constitute part of Cemex' compliance history for any purpose for which such history is relevant, including considering the violation described above in assessing a penalty for any subsequent violations, in accordance with the provisions of § 25-7-122, C.R.S, against Cemex.

63. Cemex shall comply with all applicable Federal, State, and/or local laws and regulations and shall obtain all necessary approvals or permits to conduct the investigation and remedial activities required by this Consent Order and perform its obligations required hereunder. The Division makes no representation with respect to approval and permits required by Federal, State, or local laws or regulations other than those specifically referred to herein.

64. Nothing herein shall be construed as prohibiting, altering, or in any way limiting the ability of the Division to seek any other remedies or sanctions available by virtue of Cemex' violation of this agreement or of the statutes and regulations upon which this agreement is based, or for Cemex' violation of any applicable provision of law.

V. LIMITATION RELEASES AND RESERVATION OF RIGHTS AND LIABILITY

65. Upon the effective date of this Order on Consent, and during its term, this Consent Order shall stand in lieu of any other enforcement action by the Division with respect to the violations cited herein. This Consent Order does not grant any release of liability for any violations, regardless of when they occurred, that are not cited in this Consent Order. The Division reserves the right to bring any action it deems necessary to enforce this Consent Order.

66. Nothing in the preceding paragraph shall preclude the Division from imposing additional requirements necessary to protect human health or the environment pursuant to the terms of this Consent Order. Nor shall anything in this Consent Order preclude the Division from imposing additional requirements in the event that new information is discovered that indicates such requirements are necessary to protect human health or the environment.

67. Cemex reserves its rights and defenses regarding liability in any proceedings regarding the Facility other than proceedings to enforce this Consent Order.

68. Upon the effective date of this Consent Order, Cemex releases and covenants not to sue the State of Colorado as to all common law or statutory claims or counterclaims arising from, or relating to, the violations of the Act or the Regulations specifically addressed herein.

69. Cemex shall not seek to hold the Division liable for any injuries or damages to persons or property resulting from acts or omissions of Cemex, or those acting for or on behalf of Cemex, including its officers, employees, agents, successors, representatives, contractors or consultants in carrying out activities pursuant to this Consent Order. Cemex shall not hold out the Division as (a) a party to any contract entered into by Cemex in carrying out activities pursuant to this Consent Order; or (b) an owner, operator or generator of hazardous wastes at the Facility. Nothing in this Consent Order shall constitute an express or implied waiver of immunity otherwise applicable to the Division, its employees, agents or representatives.

70. The Division reserves the right to bring any action or to seek civil or administrative penalties for any past, present, or future violations of the Act and its implementing regulations, not specifically addressed herein. Further, the Division has the right to bring any action to enforce this Consent Order and to seek authorized penalties for any violation of this Consent Order.

VI. NOTICES

71. Unless otherwise specified, any report, notice or other communication required under the Consent Order shall be sent to:

For the Division: Garry Kaufman
Legal Administrative Specialist
Colorado Department of Public Health and Environment
MS: APCD-SS-B1-1400
4300 Cherry Creek Drive South
Denver, Colorado 80246-1530

For Cemex: John Lohr
Plant Manager
Cemex, Inc.
P.O. Box 529
Lyons, Colorado 80540-0529

VII. OBLIGATIONS UNAFFECTED BY BANKRUPTCY

72. The obligations set forth herein are based on the Division's police and regulatory authority. These obligations require specific performance by Cemex of corrective actions carefully designed to prevent on-going or future harm to public health or the environment, or both. A petition does not stay enforcement of these obligations in bankruptcy. Cemex agrees that the penalties set forth in this Consent Order are not in compensation of actual pecuniary loss. Further, the obligations imposed by this Consent Order are necessary for Cemex and the Facility to achieve and maintain compliance with State law.

VIII. MODIFICATIONS

73. This Consent Order may be modified only upon mutual written agreement of the Parties. The Division may extend any deadlines set forth herein, and upon acceptance of such extension by Cemex, any such extension shall constitute a modification to this Consent Order.

IX. BINDING EFFECT, AUTHORIZATION TO SIGN AND EFFECTIVE DATE

74. This Consent Order is binding upon the Parties to this Consent Order and their corporate subsidiaries or parents, their officers, directors, agents, attorneys, employees, contractors, successors in interest, and assigns. The undersigned warrant that they are authorized to bind legally their respective principals to this Consent Order. This Consent Order shall be effective upon the date signed by the last party. In the event that a party does not sign this Consent Order within thirty (30) calendar days of the other party's signature, this Consent Order becomes null and void. This Consent Order may be executed in multiple counterparts, each of which shall be deemed an original, but all of which shall constitute one and the same Consent Order.

COLORADO DEPARTMENT OF PUBLIC HEALTH AND ENVIRONMENT

By: _____ Date: _____
Margie Perkins
Director
Air Pollution Control Division

By: _____ Date: _____
David R. Ouimette, Manager
Stationary Sources Program
Air Pollution Control Division

CEMEX, INC.

By: _____ Date: _____
John Lohr
Plant Manager

cc: Bob Jorgenson, APCD
Paul Carr, APCD
Pam Milmoie, BCHD
Gabi Hoefler, BCHD
Frank Johnson, Colorado Attorneys General Office

COMPLIANCE ORDER ON CONSENT

In the Matter of CEMEX, INC.

AIRS # 013/0003

Casey Shpall, Colorado Attorneys General Office

Cindy Reynolds, U.S. EPA (Region VIII)

Dennis Arfmann, Cemex counsel

File

TUESDAY DAILY TIMES-CALL

LONGMONT AND THE ST. VRAIN VALLEY, COLORADO

2.55 Colorado Press Association 2001 and 2002 General Excellence Winner • National Newspaper Association 2002 Best of the States Winner

State fines CEMEX \$280,000

Officials: Clean-air violations found

By Trevor Hughes
The Daily Times-Call

LYONS — State regulators have slapped CEMEX with a \$280,000 fine after inspectors found multiple clean-air violations at the cement plant, including a nonexistent system for controlling dust.

In the 16-page consent decree signed by the state health department and CEMEX managers and released Monday, the company agreed to pay the fines but did not admit to wrongdoing.

The company also denied anyone was hurt by any of its actions.

"It's pocket change to them, and yet they still refuse to accept any responsibility," said Lou Dobbs of the Environmental Justice Project, a group of local residents skeptical of CEMEX. "Until they can admit their wrongdoing, the trust in the community will remain at a low ebb."

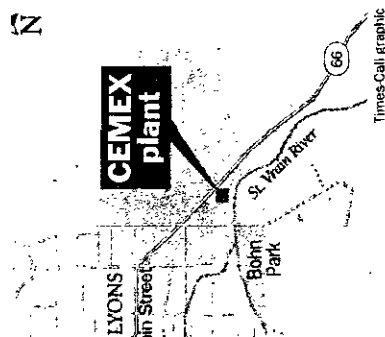
Dobbs lives across the street from the 2,500-acre CEMEX plant.

■ See CEMEX / A3



CEMEX was fined by the state for multiple clean-air violations at its cement plant east of Lyons off of Colo. Highway 66. The company now is required to launch a "supplemental environmental project" at the plant.

Times-Call file photo by Richard M. Hackett



In addition to a \$132,300 fine, the company must launch a \$150,000 "supplemental environmental project" to develop stronger environmental and public health protections at the plant on Colo. Highway 66.

As part of that effort, CEMEX must tell people it violated air-quality laws.

"The report is just the beginning," said Richard Cargill, executive director of the St. Vrain Valley Watchdogs, a group formed to monitor CEMEX. "It's the beginning of seeking solutions that go beyond compliance — to have a clean plant because you want to be a good neighbor."

Cargill's group, along with the Sierra Club and local residents, are fighting CEMEX's plans to burn used tires in its kiln. CEMEX blasts limestone from a quarry on the north side of Colo. 66, trucks it across the road, then heats it in a kiln to make cement.

The groups say CEMEX cannot be trusted to burn tires cleanly if it cannot reliably follow state clean-air rules.

The state report said CEMEX, among other findings, failed to adequately control dust leaking from its A-frame storage building, lied about the pollution-control equipment on the A-frame, failed to control dust on access roads, and failed to calculate how much dust was escaping the site. All are requirements of the plant's existing permits.

The biggest violation appears to center on the A-frame storage building, a large structure the company uses to store limestone needed for making cement.

According to the state, CEMEX said it used a "baghouse" — an attached room filled with filtering bags — to control dust coming from the building.

"From April 2001 through August 2003, CEMEX operated the plant's A-frame without the required baghouse," the report said. "On or about June 20, 2003, CEMEX filed an air pollution emission notice ... (and) identified a baghouse ... as the pollution control equipment. ... There was no baghouse on the A-frame transfer point, and had not been such a baghouse for at least two years."

CEMEX shut down the A-frame in August under state order and has not reopened it. But that is also causing problems. Under state regulations, the plant can handle only 180,000 tons of "clinker" or cooked limestone material, outside.

The plant is approaching that level now, the state said. Once CEMEX exceeds that limit, it will be fined \$10,000 per month for the rest of the year.

CEMEX plant manager John Lohr did not return a phone call Monday.

CONCRETE EVIDENCE

Whistle-blower gives **EQUUS** WEEKLY
an inside look at conditions at **CONRAD**

BY **PAMELA WHITE**



Dust in the wind

Cement plant north of Boulder faces state penalties, federal inspectors and the wrath of a whistleblower

by Pamela White (Editorial@boulderweekly.com)

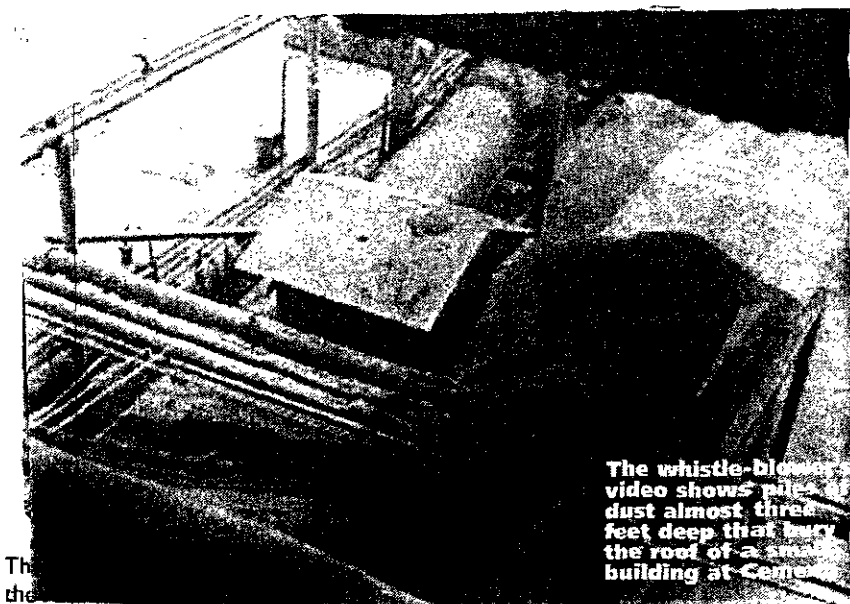
Making cement is a dirty business. It involves a series of complicated steps that take raw stone from quarries and transform it into a very fine powder that attains remarkable qualities when mixed with water.

Without cement, the primary ingredient in concrete, modern architecture and transportation could not exist. But the manufacture of cement produces a host of pollutants. Most cement plants burn coal for fuel, releasing toxins and particulate pollutants into the atmosphere. In addition, the heavy industrial machinery needed to create cement requires vast amounts of oil for lubrication. Then there's the ever-present dust byproducts—rock dust, clinker dust, cement kiln dust and powdered cement itself.

Since 1969, cement has been manufactured at the cement plant located just outside Lyons. Currently owned by Cemex, a Mexican company with net sales of \$6.5 billion last year and the largest manufacturer of cement in North America, the plant supplies about 25 percent of Colorado's demand for cement and employs some 100 people year round. While its product might be in demand and its contributions to the local economy valuable, the plant is less than popular with people who live nearby.

For six years, Cemex has been the source of complaints from neighbors who say fugitive dust plumes from the plant have invaded their homes, ruined the paint jobs on their cars and left them ill. While neighbors have complained to the EPA, the state and the county, they say precious little has been done to address the alleged problems at Cemex. Further, the neighbors say that officials have at times treated them as annoyances, with one county official referring to them as NIMBYs—complainers whose unhappiness can best be explained by the phrase, "Not In My Back Yard."

But the wind may be shifting. In March, a state inspector responded to county government concerns by launching a series of unannounced inspections at Cemex. The inspections netted a host of alleged air-quality-control violations, a number of which are directly related to fugitive dust. The state's enforcement effort received an unexpected boost when a Cemex employee, frustrated by the company's alleged inattention to employee concerns, began to feed information to the health department, including three hours of video footage filmed inside the plant in July and August.



The whistle-blower video shows piles of dust almost three feet deep that bury the roof of a small building at Cemex.

Although the current state action against the plant, which might result in a substantial fine, could be resolved as soon as Nov. 20—the day this paper hits the streets—Cemex's worries are not over. Boulder Weekly has learned that the Mine Safety and Health Administration (MSHA), a federal agency, has just launched its own investigation of the plant.

Boulder Weekly has had an exclusive visit with the Cemex insider and viewed the video footage. To help make sense of this complicated situation, the paper has also spoken with neighbors, as well as an official representative of Cemex and state and county officials in an attempt to understand what's going on at Cemex—and what's so upsetting about a little dust in the wind.

In their backyard

Richard Cargill, executive director of the St. Vrain Valley Community Watchdogs, lives within sight of the Cemex factory, which was then called Southdown. He and his wife moved into the area in 1997 and immediately realized they were facing some kind of pollution problem.

"We were always coughing, and there was always white dust in the house and on our cars in the morning," Cargill says. "It had a tendency to corrode our windshields and the finish on our paint. We didn't know what it was but we could see these big plumes of dust coming from the cement factory. Sometimes you'd have white-outs."

Ken and Lou Dobbs, who live even closer to the cement plant, were also distressed by the conditions around them. They had learned to keep their windows closed to keep fine white cement dust from getting into their home. Still, they were concerned about what they were being asked to breathe.

Even if the dust was not toxic, they knew it was some kind of particulate pollution—small particles of solid matter that float in the air and can be inhaled—and could therefore have an impact on their health. Particulate matter has been proven to cause wheezing, exacerbate asthma and other lung problems, and has even been linked with premature aging of the lungs and death. Cement dust, in particular, because it has a high pH, can cause chemical burns.

By this time, there was a small organizing effort underway in the neighborhood. When one of the key players decided to sell her home and move to the Western Slope, she passed her files on to Cargill, who already had a history of environmental activism.

"We formed the Watchdogs, and we began to pursue this through the regulatory agencies," Cargill says.

While the U.S. Environmental Protection Agency has ultimate enforcement authority over water and air quality, enforcement falls first to the county, then to the state.

The Watchdogs sent a letter to the Environmental Protection Agency. But the EPA wrote back to say the dust was associated with "high-wind events" common in their area.

The activists didn't accept that as an answer, and by 1998, a concerted effort was underway to report dust plumes to the Boulder County Health Department. County and state records document the many complaints that were called in by

Cargill, the Dobbs and others. While the EPA's response had been nonexistent, the county's response was altogether underwhelming, the activists say.

County officials told residents that inspectors needed to see the dust plumes themselves in order to be able to act on them. Because it took county officials about 40 minutes to reach the plant after receiving a fugitive-dust complaint, this rarely happened. The residents' frustration mounted.

In an effort to resolve the issue, the county asked residents to videotape the dust plumes. Lacking a video camera, they began to take photographs and share those with the county.

"There's no way to win," says Lou Dobbs, recalling the aggravation of those years. "We can't videotape it, because we don't have the video camera. They can't give us a video camera. They can't act without proof, and they can't get out here to get proof. The state says they can't be everywhere at once. There's this big loophole, so what do you do?"

County and state records show many instances in which fugitive dust-plumes were reported to officials via phone, through letters and sometimes through photographs. In several cases, the county or state asked the plant to update its Fugitive Dust Control Plan (FDCP). In other cases, it's unclear what action, if any, was undertaken by regulatory agencies.

In February 1999, faced with persistent complaints about dust, the Boulder County Board of Health passed Resolution 99-1, establishing a taskforce that would bring community members, government officials and Southdown representatives together to resolve some of the problems. Funded by state and county money, the task force, given the unwieldy name Northern Boulder County Environmental Health Community Task Force, met over a period of two years and produced a Memorandum of Understanding (MOU), which Cargill signed, together with county officials and Southdown/Cemex Plant Manager John Lohr.

In the MOU, Southdown/Cemex agreed to a number of substantial changes. The plant agreed to install and maintain a sprinkler system in its cement kiln dust disposal pit; install and maintain a sprinkler and watering system at its Dowe Flats quarry site; purchase and use a second water truck to keep roadways wet and minimize dust in the air; modify its current truck wash system so that trucks carrying cement would be forced to drive through it; and add a sign stating, "Air Pollution Stops Here." Further, the plant agreed to distribute a community newsletter about improvements and updates at the plant and instructions for filing complaints with the plant; hire an employee to augment plant housekeeping efforts; re-prioritize plant expectations, including a formal plant-sweeping schedule and a complaint procedure for handling neighborhood issues. In addition, Cemex committed to installing a closed-circuit television monitoring system to allow plant operators to monitor the facility for dust problems around the clock; limit use of certain equipment to the hours of 6 a.m. to 9 p.m.; shut down any activities that might cause dust emissions when winds reach 30 mph for a 15-minute period; and respond to all complaints with immediate and follow-up action.

The county, for its part, agreed to copy the plant's inspection reports and provide them to task force members.

Neighborhood residents left the table feeling they had finally accomplished something and reasonably hopeful they had seen the last of the cement dust. The county won a national award for its efforts, while Cemex earned an honorable mention from the cement industry's environmental awards. Everyone was satisfied—for the moment.

"The MOU worked for a while, and then suddenly we started noticing all these dust storms again," Cargill says.

Gabi Hoefler, an inspector with the Boulder County Health Department, acknowledges that some residents have been frustrated with both the county and with Cemex since the MOU was signed and feel Cemex has been unresponsive to their concerns or failed to abide by the MOU.

"During the task force [Cemex was] very responsive," she says. "They sat down with the citizens and worked through numerous plans and implemented a number of new projects. And after that I don't know necessarily that [the MOU] fell apart as—I'm not really sure how to say it—maybe [Cemex did] not stay on top of it as much as they needed to."

In the early spring of 2002—about six months after the MOU was signed—the sprinkler Cemex had agreed to install and maintain froze. A state official who inspected the plant on Oct. 1, 2002, sent a letter to Cemex stating that the sprinkler system had been out of operation "for an extended period of time" and recommending that the company keep spare parts on hand to ensure speedier repairs.

Activists see Cemex's failure to keep the sprinkler system operational as proof the company didn't take the MOU seriously. For them, it strains the limits of credibility that a multi-billion-dollar company couldn't do a better job of making certain the system received timely repairs.

Hoefler says it's more likely a problem of not thinking far enough ahead, as opposed to an issue of malfeasance.

Regardless of the cause, residents were again disheartened. Their growing sense of frustration was heightened by the discovery that the company had burned some 88 million gallons of solvents and waste oil in its kiln between 1975 and 1991 without the proper permit, as well as the company's August 2002 announcement that it wanted to burn tires as a fuel source in its kiln—something it had not done since 1993. (See sidebar.)

On Sept. 9, 2002, Cargill made a presentation to the Boulder County Board of Health, in which he alleged that Cemex had failed to comply with the MOU as evidenced by the frequent dust clouds. Board member Jeannette Hillary reportedly asked if it was time to hold Cemex's "toes to the fire," and residents attending the meeting indicated they felt it was.

On Sept. 30, 2002, Hoefler and Pam Milmoie made an unannounced inspection at Cemex on behalf of the county. They found excess dust piled on top of the plant's A-Frame building, as well as numerous piles of clinker around it; excessive fugitive dust emissions at the Clinker Pit due to improper handling of material by a worker; dust on the haul road behind the A-Frame; piles of dust under a conveyor belt at the south end of the plant, a condition they noted had been reported in previous inspections; and materials stockpiles which could be a source of fugitive dust and which inspectors had previously suggested should be watered or misted to keep down fugitive dust. The county demanded a written response from Cemex demonstrating how the problems would be corrected.

Their findings were quickly passed onto the state, which generated a letter of its own to Cemex on Oct. 15, 2002. In that letter, the state demanded Cemex yet again revise its Fugitive Dust Control Plan.

Cemex and the state went back and forth on the revisions well into March 2003. But by March 26, 2003, when state inspector Paul Carr made his first unannounced visit to the plant, the dust-control plan was no longer Cemex's biggest problem.

Donuts in the front office

When the state of Colorado takes action against a company for alleged violations of pollution laws, there is a set process to follow. First, inspectors note any violations and report them to their superiors. The company is notified, and confidential negotiations between the state and the company begin.

During negotiations, some allegations might be dropped—perhaps because they were found to be invalid when all the facts were examined—and other problems might come to light. The alleged violator is given a chance to voice their point of view and to divulge, without penalty, problems they might be having, as well as steps they are taking to resolve the situation. Eventually, the discussion comes down to fines. In some cases, companies are given the option of participating in Supplemental Environmental Programs, or SEPs, which are designed to improve the environment in some way. In other cases, companies are simply fined, with that money going into the state's general fund. Often the original amount of the fine is reduced during negotiations.

From a cynical point of view, the process looks an awful lot like Let's Make a Deal, with polluters getting state cooperation and taxpayers waiting in the dark.

"We take these kinds of issues seriously and our objective is to find solutions that work," says Margie Perkins, director of the state health department's Air Pollution Control Division.

Unlike criminal cases involving citizens, who must plead guilty before receiving reduced penalties, civil cases against polluters do not involve an admission of guilt.

"There is no requirement under the law... to make an admission of guilt," says Perkins. "To be perfectly frank, an admission is not something I would be seeking as much as their agreement to take corrective action."

The government can also take criminal action against a polluter, and sometimes both civil and criminal cases are combined in one enforcement action, Perkins says.

While the end product of a criminal case is a verdict and sentence or a plea bargain, a civil action against a polluter ends with a Compliance Order on Consent, which outlines both the remaining allegations against the company and a breakdown of any fines or SEPs the company is required to pay.

As this edition of Boulder Weekly goes to press, Cemex representatives and officials are about to meet to discuss the latest version of the Compliance Order on Consent for alleged violations found by inspector Paul Carr during his March 26, 2003, inspection and subsequent visits.

Through a Colorado Open Records Act request, Boulder Weekly learned that Carr found 18 alleged air-pollution-control violations, seven of which involve issues related to fugitive dust emissions. Other alleged compliance violations include failure to calculate a variety of emissions correctly from a number of different sources and the failure to report four incidents of "upset condition" in the plant's Semi-Annual Deviation Report.

"Upsets" are unpredictable failures of air pollution controls that result in the violation of emissions regulations and are not the result of poor management, poor maintenance or carelessness.

Boulder Weekly asked to speak directly with Carr, but was not allowed the opportunity. Christopher Dann, spokesman for the state health department, explained that no one in the department would be able to comment on Carr's findings or the current negotiation with Cemex until negotiations are completed.

"All I can tell you is this policy of not discussing matters of negotiation until they're resolved is not something unique to our interaction with Cemex," Dann says. "It's been our policy in the eight and a half years that I've worked here, so it's not anything new. And once negotiations are completed we have never refused to talk to any member of the media—chapter and verse—so I wouldn't expect that it would be any different this time."

For other issues, such as enforcement in general, the paper was referred to Perkins, who sits three rungs up the ladder from Carr.

County officials likewise declined to comment on the current allegations against the company or the county inspection results that were forwarded on to the state in October 2002.

Representatives from the state attorney general's office, which has been working with the health department on the current negotiations, also declined comment, going so far as to say the attorney general was not the expert on state statute when it came to air-quality regulations.

Mine Safety and Health Administration officials, who have oversight over worker health and safety issues at the plant, said they are investigating a complaint filed on Nov. 14.

"Right now we have an inspector there, along with an assistant, who are investigating the complaint," says Rodney Brown, MSHA spokesman. "We have an inspector (and an assistant) there now, looking into all of this."

The complaint includes 11 allegations, Brown says. The specifics of the complaint mirror the allegations made by the insider to Boulder Weekly—poor maintenance, worker intimidation and an unhealthy work environment.

"[The inspector's] got a lot of stuff to check out," Brown says. "He's going to be looking into each of these allegations, [at least] the ones that can be check out."

Brown says the agency gets about 100 complaints a year that require a response.

"Certainly a good number of them turn out to be frivolous," he says.



Oil filters or oil buckets float in an oily sludge among cattails west of Cemex's main office building.

this time.

In a memo dated Oct. 22, 2003, Cemex indicates to the state that it is willing to spend \$800,000 on "improvements" as part of its effort to resolve the current state enforcement action.

The same memo notes, "Cemex is interested in investing in projects [SEPs] and improvements, NOT fines."

However, it is not up to Cemex how the state ultimately decides to resolve the situation.

"If they feel compelled to tell us they're not interested in fines, they can certainly do so," Perkins says. "That doesn't necessarily sway us from doing what we need to do."

Certainly, Cemex is facing more alleged compliance violations this time than it has in the past.

While Cemex Plant Manager John Lohr would imply that some of the alleged compliance violations are the result of changing regulations—a possibility supported by county and state officials—someone at Cemex has a very different opinion.

[Editor's note: Though state officials responded quickly and helpfully to Boulder Weekly's open-records request, attorneys for Cemex were allowed to view the requested documents before they were shown to this newspaper. According to state officials, due process required them to let counsel for Cemex view documents before the state made them public. Cemex reportedly did not remove any documents from the files. However, due to apparent sloppiness on the part of the state's attorneys, the name of the insider who fed information to the state was left in the files until it was brought to the state's attention by Boulder Weekly. Whistle-blowers are protected from retribution by federal law.]

Candid camera

The tapes arrived at Boulder Weekly in a padded brown envelope, no return address. They contain almost three hours of footage filmed at the Cemex plant—by a Cemex employee, an insider who claims to have come forward out of concern for the workers.

There are too many accidents waiting to happen, the insider says, and the company wasn't doing enough to improve matters for the workers.

No figures were available to indicate how much Cemex is facing in possible financial penalties; nor can Boulder Weekly be certain which alleged violations will remain on paper when the negotiation process is completed.

Documents obtained through the Colorado Open Records Act indicate the amount of the potential fine could be six figures or higher. Whereas past enforcement actions have resulted in the company donating to SEPs in amounts under \$10,000, the company appears to be tossing around substantially higher figures

"[People] would sit there in the safety meetings and get frustrated themselves," the insider says. "A lot of [them] welcomed [the state inspections] because they looked like they were going to start fixing it."

Though the insider claims to feel loyalty to Cemex, frustration grew when state inspections began back in March. The insider claims the company seemed to be trying to hide things from the state. The turning point for the insider came when several workers were allegedly shut in the cooler room with a leaking chemical tank in an effort to hide the leak from the state inspector. The workers allegedly became ill, and one allegedly missed work due to the effects of the chemical.

"At that point I wasn't worried about [Cemex] because they weren't worried about me or anyone," the insider says. "This really agitated me to push to get the changes done out there. Somebody had to do something."

Frustrated, the insider read a neighbor's complaint against Cemex in the media and contacted the state of Colorado—and later Boulder Weekly. Among the tidbits the insider offered the state was the allegation that plant manager John Lohr had created an "early-warning system" to tip off employees that a state inspector was on the grounds. The insider claims that, whenever Carr arrived, word went out on the radio that there were "donuts in the front office."

(After being told about this code phrase, Carr was able to document its use during his June 30 visit to the plant.)

When the insider gave this information to the state, the "early-warning system" was abolished, the insider says. But there allegedly remained a desire to warn employees any time an inspector appears.

"[Nowadays] they will run to all areas—and I mean run—and tell them the state is there," says the insider. "Why would you do that? If you didn't have anything to hide, why would you bother anyone with that?"

The insider also alleges Cemex employees were instructed to stop equipment during at least one state inspection visit in order to "hide leaks."

"They would walk [Carr] to certain areas, and as soon as he'd leave it was business as usual. The Sierra Club was out there, and they just led them around, too," the insider says.

And so the insider took a video camera to work to document conditions in areas of the plant the inspector had not seen.

The first video demonstrates how afraid the insider was to film while at work. The images jerk around, one moment focused on a dust pile or leaking machinery, the next giving the viewer a close-up look at the floor or the fabric of the insider's clothing. The second and third tapes are much easier to watch. But all three show images of foot-deep piles of dust beneath conveyor belts; conveyor belt covers leaking plumes of dust; foot-deep dust on walkways; dust-covered cables crossing walkways; open transformer and breaker boxes; ceiling beams buried beneath six-inch-high piles of cement dust; oil-soaked rags tied around leaking machines; pipes swathed in duct tape; three-foot-deep piles of cement dust on roofs, particularly the A-Frame. ("If that much built up on the roof, think how much went into the air," the insider says in the tape narration.)

The three most striking images include a waist-high pile of cement dust that entirely blocks a door; the dashboard of a dump truck, the gauges of which are entirely missing; and a nearby water-filled ditch where cattails grow in a green oily slime surrounded by discarded oil filters or oil buckets.

"The equipment is so old," the insider alleges. "They just don't put the money back into the plant."

The insider claims to be motivated most by the need for better working conditions and improved worker safety. The unkempt condition of the plant not only results in workers breathing more dust, but also getting more dust on their skin, the insider says.

Because cement has such a significant base pH, it can cause chemical burns just by touching skin. This is particularly true if the skin is moist from perspiration. The insider says there have been incidents of employees receiving minor burns to their skin or getting cement dust in their eyes.

And, in fact, MSHA records made available through the agency's website indicate four incidents of dust-related injuries since 2000—one involving burns to the skin, the others dust in the eyes.

"It's an accident waiting to happen," the insider says.

The insider says that by August, Cemex officials were aware that someone had been communicating with the state. Word was then allegedly passed around the plant that there might be incentives for the insider to come to plant management and talk with them first before going to the state. The insider began to feel less safe at that point and worried about being watched.

The inspections have resulted in some improvements, according to the insider. Management is running sweepers seven days a week during the day, for example. But much remains to be resolved, the insider says.

"I want to see the employees taken care of," the insider says. "[Plant Manager John Lohr] should be the champion for the people who are making him the money. He should be treating his employees the way he wants to be treated."

On site at Cemex

We park and walk through a stiff wind toward the front office building. A small cloud of cement dust lifts off the top of the cement storage silo and flutters against the blue sky like a pennant. We sign in with the receptionist and are quickly met by Plant Manager John Lohr, who shakes our hands and leads us back to a conference room. Four hardhats sit on the table amid samples of quarried stone, clinker and finished cement powder.

One of 13 Cemex plants in the United States, the Lyons facility provides Colorado with about 25 percent of the cement it uses to build and grow. Lohr tells us that Cemex's cement can be found in Coors Field and the Pepsi Center, as well as in countless highway overpasses, homes and office buildings along the Front Range.

"We believe we've been a pretty significant part of the local economy," says Lohr, who's been with the plant for 12 years.

It's clear Lohr believes in the company he represents. The public image of Cemex is important to Lohr, who has run a number of full-page ads in local papers declaring the plant's intention to be a good neighbor to the residents of Lyons, Hygiene and Longmont.

But there's ink you can control, and there's ink you can't.

We begin by talking about ways in which the area has changed since the plant was first built in 1969. Lohr says it's not a rural area any longer, but more of a suburban area.

"It is an upscale residential area," he says. "[As a result], we have to be very aware. We have to tend our business carefully. We work very hard at that."

Lohr says the plant has a neighbor complaint line that is staffed year-round 24 hours a day, even on Christmas. Then he tells about how Cemex banned a certain type of loud truck brakes at the plant after a neighbor complained.

Lohr brings up the Northern Boulder County Environmental Community Task Force and the resulting MOU.

"Everything we have committed to in the MOU, we have continued on," he says.

We point out that some neighbors don't feel that way. Several community members allege that Cemex has failed to hold up its end of the bargain and point to maintenance of the CKD pit sprinkler system—the first agreement listed on the MOU—as proof Cemex didn't take the MOU or the taskforce process seriously.

When we ask Lohr about the problems with the sprinkler in 2002, he seems to misunderstand the question and begins elaborating on issues pertaining to this year's series of inspections. The sprinkler froze early in 2003, and it took two weeks to get replacement parts, he says.

When we attempt to clarify and make it clear we're talking about 2002 and the letter from a state inspector stating that the system had been down for "an extended period of time," Lohr again refers to this year's inspections and claims the sprinkler was out of operation for only two weeks while the company waited for new valves.

"We agreed to keep spare sprinkler parts, but we can't stock a spare sprinkler system," Lohr says.

This means that if more parts need to be replaced than they have on hand, there could be delays as additional parts are ordered, he says.

Our question about the sprinkler system and the delay in repairs in 2002 goes unanswered.

Lohr, meanwhile, continues to praise the process that resulted in the MOU.

"We found the process and the contact so valuable, we are forming a new group now," he says.

The company has just launched a new Citizens Advisory Panel (CAP) in an effort to better connect Cemex with the community, he says.

What he doesn't tell us, but which we know from state documents, is that the CAP is one of the improvements Cemex is offering the state as part of the continuing negotiation process over alleged permit violations. Nor does he mention that the CAP will be facilitated by M. Caplan Company, which also works for Roche, formerly Syntex and once the largest polluter in Boulder County.

We move to the topic of fugitive dust—a constant source of conflict. We point out that, according to county and state records, Cemex has repeatedly been asked by regulatory officials to revise its Fugitive Dust Control Plan to account for a whole range of conditions that have resulted in dust plumes. There have been so many requests for revision, in fact, that the plan has been in an almost constant state of change since 1998.

Frequent revision of dust-control plants is fairly standard for the industry, Lohr says.

"The community has changed around the plant in that period of time," he says. "Regulations have also changed during that period of time."

Lohr had previously said in a telephone conversation that some of the allegations against Cemex are the result of not having kept up with changing regulations.

With permit violations in mind, we move onto the real point of this interview.

First, we talk about the Compliance Order on Consent signed in 2000. That year an inspector found that particulate emissions from the raw materials dryer exceeded the limit of Cemex's operating permit. Cemex was slapped with a \$10,000 fine. The company ended up doing a Supplemental Environmental Program (SEP) rather than paying a fine and cut a check for \$6,407 to Boulder County for road paving. It also installed a video camera to help it monitor its own emissions, an expense of \$1,993.

Lohr explains that the increased emissions in that instance were the result of a broken weld that was quickly repaired.

State records show that when emissions from the dryer were rechecked a few months later, they fell within permit limits.

In February 2001, state inspector Shannon McMillan visited Cemex and found several violations of the company's emissions permit. These included the need to modify their permit to allow for increased emissions because they hadn't implemented a planned underground reclamation system; alleged failure to properly account for emissions from the gasoline storage tank on an annual basis; alleged failure to perform opacity readings semi-annually for several emission points; alleged failure to include certain statements in its annual certification report; and an alleged opacity violation from a transfer point from the dryer to the secondary crusher. The last—an opacity reading of greater than 20 percent—was an incident of excess emissions observed by the inspector.

Again, Cemex was fined \$10,000, and again the state permitted Cemex to do an SEP. This time, a check for \$6,000 was sent to the Fire Impacted Water Restoration Fund.

"There are no freebies," Lohr says. "There aren't any warnings with the state. They see something, they observe something, you have a violation."

We tell him that a cynical person might decide that the state shows up once a year to raise a little extra money for itself.

"I like to believe that they are committed to enforcement and full implementation of all the laws and regulations," Lohr says, appearing to be deliberately tactful.

Then we move on to housekeeping, which, in the cement industry, largely means keeping the plant and grounds free from piles of dust and debris that might impact worker safety or might be picked up by high winds and transported through the air. Inspectors have repeatedly found piles of dust at the plant and mentioned housekeeping as a concern.

An Oct. 15, 2002, memo from the state notes, "Piles of dust were noted under conveyor belts, kiln, dryer, etc., during the inspection. These areas have a significant potential fugitive dust impact during windy conditions, which is a frequent occurrence in the area... The division recommends a more frequent schedule for housekeeping in these areas to minimize the potential for fugitive emissions."

Lohr tells us that housekeeping is relative to the industry and that for a plant that moves some 300 million tons of rock each year, Cemex is a clean plant.

We mention an Oct. 22 memo from Cemex to the state in which Cemex claims its level of housekeeping at the plant is at an all-time high. Lohr reaches into his stack of papers, removes a document and hands it across the table.

It is the Oct. 22 memo. And although it contains the sentence we just mentioned, deleted from the second page are references we'd seen on the state's version of the memo to specific dollar amounts Cemex is willing to spend to resolve the situation, along with the statement, "Cemex is interested in programs and improvements, NOT fines."

Lohr grins sheepishly when confronted.

"You must have seen the version I sent to the state," he says. "This is a cleaned-up version."

The topic quickly shifts to trust. How does Cemex respond to statements by community members who say they simply cannot trust the company?

"If people are willing to live and let live, the company is willing to bend over backwards to try to address issues and try to make changes. I think we have in the past, and we intend to in the future," says Lohr. "But I can't deal with somebody who says, 'I don't like you, and I want you to go away.' I don't know how to deal with that."

As for rumors that Cemex is planning on leaving the community, Lohr admits the company has looked at properties in Wyoming, although it still has an estimated 17 years of usable stone in its quarry. Even should the company decide to end its mining operations and relocate to Wyoming, Lohr says Cemex won't leave the community altogether.

"I would see us having a presence here, at least a grinding and distribution facility, well into the future," he says.

Soon we move onto a discussion of the current enforcement action against Cemex.

Lohr points out that Carr found Cemex to be in compliance on most issues. And, indeed, the 61-page inspection report shows that Cemex is in compliance on most of its Title V permit conditions.

However, it also lists 18 alleged violations, ranging from improperly calculating PM10 emissions from several sources to failing to use chemical suppressants and water adequately to control fugitive dust emissions to failure to report four incidences of "upset" in the company's semi-annual Deviation Report. The report concludes that Cemex is not in compliance with its Title V operating permit.

Lohr says some of the alleged violations involve conditions that could be judged subjectively. If the permit requires the company to use water and dust suppressant "as needed," what is the definition of "as needed?" In this case, the company's definition was different than the state inspector's definition, he says.

As Lohr goes through the allegations, he seems to feel his plant was compliant with the spirit of the laws that govern it, but happened to fall short when it comes to splitting hairs over the letter of the law. With regard to one allegation, Cemex was actually reporting more instances of opacity than they were required to report, he says, but were still cited with a violation for calculating it incorrectly.

"There is no pass. There is no freebie," he says again.

With regard to the four alleged instances of non-reporting, Lohr says paperwork was sent to the state with each of the instances; the plant simply forgot to include them in their semi-annual summary of upsets.

"That's why the state knew they were there," he says.

Now it's time for tougher questions. We ask him when he realized an insider—a Cemex employee—was feeding information to the state.

"The end of July or early August," he says. "I am disappointed that they didn't point out these issues to us, but that is every individual's right in this country."

Then we ask him about one of the most helpful bits of information the insider passed to state officials—the code phrase "donuts in the front office," which Lohr reportedly coined to alert employees that a state inspector was on the grounds.

Lohr doesn't deny it.

"It's been my policy since I came on the job here that if we have an inspector on the site, I want every employee to know that so people aren't doing something stupid," he says. "It's like an, 'All hands on deck. You guys pay attention to what you're doing.'"

We read off a list of allegations made to the state and Boulder Weekly by the whistleblower: poor maintenance of equipment; intimidation of staff; improper disposal of chemicals; lack of attention to overall maintenance resulting in dust problems; bad dust conditions for workers and the neighborhood; and lack of attention to the dust pit.

The most serious allegation involved Lohr's alleged decision to shut several workers in the cooler room to clean up a chemical leak in an attempt to hide the leak from the inspector, who was on site.

Lohr doesn't deny that workers were shut in the room, saying only that the door was not locked, but he says the chemical involved in that incident is not hazardous to human health.

"In terms of being locked in a room, no, that is not the case," he says. "It's in an enclosed space that more resembles your basement than anything else with a tremendous amount of air moving through there."

As for the other allegations, Lohr says Cemex spends about \$5 million a year on maintenance and manages to keep its kiln operating more than 90 percent of the year—a higher-than-standard result. As cement making is a largely automated process involving a chain of machines, problems in one place result in halts in the process. A kiln that operates 90 percent of the time or higher is an indication of a plant in which machinery is well maintained, he says.

Questions answered, we head off on our tour with hardhats, earplugs and protective eyewear.

We walk past the raw mill, where steel grinding balls crush rock to powder. We also view the finish mill, in which steel balls crush clinker, gypsum and limestone into cement powder—the final product. We get a guided tour of the lab where chemists run regular tests on the product from start to finish through the manufacturing process to make certain it has the correct chemical and crystal structure to become high-quality portland cement. We also visit the control room, where Reed Settle, a relief console operator, keeps his eyes on the entire operation. One monitor shows him a view of the entire plant. Another reveals wind speeds. Another shows the blazing red—actually infrared—of the interior of the superheated kiln.

Our path takes us up and down stairs, through hallways, across raised steel walkways and ends with a drive around the periphery of the plant. In the mills, a fine coating of dust covers the steel stairs and railings. When touched, it burns the skin. But the air is clear, and water coats the streets surrounding the plant, streets which have clearly been swept today—and which are still being swept—to keep dust from being picked up by the 25 mph winds blowing in from the west.

Is this the canned tour of Cemex?

Clearly, it's not the Cemex shown in the insider's videos.

No easy answers

After the tour, Boulder Weekly again contacted John Lohr to try to understand the difference between the Cemex we toured and the Cemex documented in three hours of video.

"This is the first I've heard of videos," Lohr says. "I would have to see them. If you would be willing to bring them out we could take a look at them and I could offer you comments. But without having seen them I guess it would be difficult for me to comment, and I would have to see, too, if there were other tasks going on."

Boulder Weekly explained we could not take the videos to Cemex for fear of divulging the identity of the insider and instead described scenes from the footage: high piles of dust blocking walkways and a door, oil filters floating in oily water, rags tied around dripping oil leaks and so on.

Lohr says he is unaware of any plant employees dumping oil or oil filters into water on the site.

"We go to great pains [with oil]," he says. "We hire a company to haul used oil away. Many of our oil filters, especially on the big equipment, are taken away, cleaned and returned for re-use. So I don't know where those came from—whether they were from the plant, whether they were from a tenant who is leasing the [agricultural] land. I simply do not know."

If employees were discovered to be dumping oil or oil products, they would be disciplined, he says.

"That's a very clear plant policy," he says.

As for the piles of dust, Lohr says large piles of dust sometimes occur but are cleaned up.

"There are certainly times where there are piles of dust in the plant and we have to have our employees clean those up, and they happen on a regular basis, but it usually has to do with equipment malfunction, equipment breakdown—that type of thing," he says.

But Lohr says he cannot truly comment without seeing the videos firsthand.

"I would have to see a little more, understand more," he says.

So what's the bottom line at Cemex? Is the plant a well-managed facility that contributes not only jobs and a valuable product to our economy, but also does its best to be gentle on the environment? Or is it an embattled facility with safety, maintenance and cleanliness problems that impact its neighbors?

The evidence is contradictory, and with county, state and federal officials declining to comment and final reports from the state and MSHA weeks away, the final answer is not immediately forthcoming.

But neighbors are delighted that their concerns are apparently being taken seriously.

"Paul Carr is a man who takes his job very seriously, and he's witnessed the problem of poor housekeeping," says Cargill. "His environmental ethic and his social conscience and his expertise have made him a hero in this community. He's identified the problem, and he wants to correct it."

Cargill knows how he'd like to see this story end.

"[Cemex] has been there a long time," he says. "The demographics have changed. [Cemex] hasn't been a good neighbor. It's time for them to go."

Although state officials say there's no link between Cemex's proposal to burn tires and the alleged violations found by the state, Cargill says the two issues are absolutely connected. If the plant has so many problems controlling fugitive dust, it shouldn't be trusted to manage something as complicated and potentially harmful to the environment as burning tires.

Lou Dobbs says she would oppose any resolution that did not involve Cemex paying a fine and feels strongly that SEPs should be directed toward programs for the plant's neighbors.

"That money should go toward benefiting those who have suffered," she says. "It should not go to Cemex for funds to clean up the plant. They should have to do that anyway."

Meanwhile, the whistleblower responded with relief when MSHA inspectors arrived at the plant on Tuesday. For months, this individual has felt isolated. Now the insider hopes other employees will back up these claims. More than that, the insider hopes federal regulators will force changes at Cemex.

"I'm so glad for the safety for these [workers at Cemex]," the insider says. "That was really what I was concerned about to begin with."

Hot wheels
Controversy continues over Cemex's plans to burn tires

by Joel Warner (Editorial@boulderweekly.com)

On the surface, it sounds like a great idea, a win-win situation for everyone. Why not let Cemex use some of the two to three billion scrap tires sitting in landfills across the country to fuel its cement kiln, replacing in part the use of environmentally damaging coal fuels? After all, using coal means lots of mining, and using scrap tires spares our landfills.

But for nearby residents who've been fighting the proposal, tire burning is not so simple. They argue that tire incineration is far from a green-friendly process, especially in cement kilns not designed for such uses. And they say these concerns are magnified when a company like Cemex, which has a less-than-stellar environmental record, is in charge of the project.

For John Lohr, plant manager at Cemex, the use of tire-derived fuel is a no-brainer. Refitting the plant to burn tires will cost about \$1.5 million. But once the kiln starts using 20 percent scrap tires, the plant should realize \$500,000 annually in savings on fuel costs, plus about \$225,000 annually from revenue generated from a recycling fee consumers would pay when they purchase tires. Lohr says the new fuel will also make the plant cleaner. A similar facility in Clinchfield, Ga., now burns tires and has lower emissions than the Lyons plant.

"If our experience is similar to that of other plants, we expect it will be very successful," says Lohr. "To the extent that we can reduce our consumption rate, we can extend our resources."

The Lyons plant is not necessarily new to the tire-burning business. It regularly burned tires in its kiln from 1989 to 1992. When Cemex announced in 2002 it would reinstate the practice, residents argued that they no longer had the correct permit. According to current county zoning laws, county permits lapse if they are not used in a five-year period. Since tires had not been burned at Cemex for more than five years, residents argued, they no longer had the right to do so.

But the county land use department gave the go-ahead to Cemex's proposal—a move that led some critics to suggest that Cemex had greased the officials' wheels by donating open space land to the county.

"Our feeling is, if they shut down the plant, they would have to re-apply for a special work permit," says county spokesman Jim Burrus. "What they decide to burn in the making of the product is immaterial to the special-use permit."

In the fall of 2002, Sierra Club sued the county land use department on the permit issue. The case has yet to be decided, stalling Cemex's tire-burning plans.

If local residents and environmentalists have it their way, tires will never again be burned in Cemex's kilns.

"They are trying to pass off this dinosaur as a safe combustion device to burn tires. And it's physically impossible," says Ken Dobbs, local resident and member of the Environmental Justice Project. "Tires are toxic when they are burned, and they release tons of very hazardous chemicals to the environment."

Tire-burning proponents says cement kilns are often 100 times more efficient than the standards required for waste incinerators required by the Environmental Protection Agency (EPA). But skeptics say a kiln is very different than an incinerator. Kilns like Cemex's use a 100-year-old technology called a bag house—a room filled with fabric bags—to block emissions from leaving the facility. While bag houses are reasonably effective for coal burning, critics say they are not designed for tire burning. And while a 1997 EPA report concluded that burning tires produced emissions similar to coal combustion, their tests were conducted in a highly controlled environments, not in fluctuating temperatures like those found in cement kilns.

Even in perfect conditions, some aren't convinced burning tires is safe, pointing to a lack of consistent scientific evidence on the subject.

After a 2002 scrap-tire test burn in Cemex's Lyons kiln, county and federal officials declared the process posed no serious local health hazards. But residents weren't convinced. They pointed out that a quarter of the test's raw data was thrown out, due to unusually high acetone levels. But county officials say the missing results were from the coal-burning portion of the test and not part of the tire-burning test and are therefore irrelevant. And while all were still within EPA limits, neighbors were also concerned by increased levels of toxins like benzene, mercury, arsenic, zinc and lead.

"The list just goes on and on," says Dobbs. "This is not just the little St. Vrain Valley. It's been proven that these toxic plumes can travel as much as 47 miles in radius."

The fight over tire burning in Lyons mirrors a growing national debate. There are approximately 82 facilities in the country using tire-derived fuel, 36 of them cement kilns, and the number is growing. In response to increasing public concerns about these activities, grassroots groups in 18 states have formed the National Citizens Alliance, a coalition opposing cement plants and aggregate companies burning hazardous waste in their kilns. They say cement and aggregate kiln incinerators are the least-regulated and cheapest type of thermal treatment for combustible wastes in the country.

All of these concerns are compounded by the fact that Cemex doesn't have a good track record handling its current operations, says Richard Cargill, executive director of the St. Vrain Valley Watchdogs.

"How can we trust this company to have good combustion controls, when they don't seem to have good controls over anything else?" says Cargill. "Is this the kind of company we want doing anything in Boulder County—burning tires, making cement or anything else?"

Respond: letters@boulderweekly.com

Cement 101

Take a look around you—chances are you'll notice something made out of concrete. Concrete is the most widely used man-made building material in the world, and there's more of this versatile and powerful material around all the time. For example, every 18 months New York City adds about 4.25 million cubic tons of concrete to itself—enough to make another Hoover Dam.

While people often use the terms concrete and cement interchangeably, cement is actually the main hardening ingredient in concrete. Manufactured cement was invented by English bricklayer Joseph Aspdin in 1824, who named his creation portland cement because its color was similar to limestone from the Isle of Portland.

The creation of cement begins in the rock quarries where raw materials are extracted. Usually these materials are primarily limestone, but in Lyons both shale and limestone are used. At the cement factory these materials are crushed into powder and run through a kiln, a huge rotating, horizontally sloped furnace, the world's largest piece of moving industrial equipment. As the mixture approaches temperatures of 2,700 degrees Fahrenheit, it calcinates, losing its carbon dioxide, and emerges as a red-hot material called clinker. The clinker is first cooled, then ground into a fine powder and mixed with gypsum at a ratio of 95 percent clinker to 5 percent gypsum to make portland cement. The Cemex plant outside Lyons alters the chemical composition of their cement to make seven different types of portland cement.

Dry cement is then shipped to concrete producers, which combine the cement with water, sand and gravel to make concrete. Concrete is then transported to construction sites in revolving drums. Concrete doesn't just dry like clay. Water initiates a chemical process in the cement called hydration, locking together with compounds of calcium, silicon, aluminum and iron. Dry concrete is a wholly distinct material from wet concrete, a material that can gain strength indefinitely.

Cemex takes major hit for air quality violations

Penalties total \$280,000 for cement plant

By Mike Oatley

The Old Lyons Recorder

Almost six months of negotiations between lawyers for Cemex and the state's air quality division concluded last week when the state released a compliance order that fined the company more than \$280,000 for air quality violations at the company's Ute Highway cement plant east of Lyons.

The fines, totalling \$282,139, sprung from a series of unannounced inspections made at the plant in March and May of 2003 by inspectors from the Boulder County Department of Health and the state's Department of Public Health and Environment. The fines are among the largest ever levied for air quality violations in Colorado.

According to a compliance order issued by the CPDHE's Air Control Division on Feb. 2, Cemex was found to have improperly calculated emissions of particulate matter and to have failed to follow through on a fugitive dust control plan.

The order also states that the plant operated an A-frame used to store clinker -- a predecessor

to finished Portland cement -- without any pollution control devices in place at all between April 2001 and August 2003 while reporting that it was using a baghouse of 99% efficiency on the A-frame. The order states, "At the time [the company reported that baghouse was in place], there was no baghouse on the A-Frame ... and had not been such a baghouse for at least two years. Actual emissions ... were higher than the rate reported."

As part of the settlement, Cemex will be required to pay \$37,460 in administrative penalties, \$94,839 in noncompliance and "economic benefit" penalties and spend \$149,840 on supplemental environmental projects that will have to be agreed to by the air quality division.

The company has 180 days to submit a plan for the environmental projects.

Richard Cargill, executive director of the St. Vrain Valley Community Watchdogs, a neighbor to and frequent critic of the plant, said he feels vindicated by the compliance order.

"People thought I was off the wall for reopening the cement kiln dust issue," Cargill said, adding that the compliance order was the result of a massive citizens' effort. "Hundreds of hours of citizen's time could have been saved if the state and county inspectors had come down hard on

the plant in 1998," when fugitive dust emissions were the focus of controversy between the plant and its neighbors. Controversy surrounding the embattled plant has since largely moved on the Cemex's plan to use used tires as fuel at the plant.

Cargill maintains that the company does not have a sufficient track record of good housekeeping to be allowed to burn tires.

"Give us 20 quarters of sparkling inspection reports" first, before raising the fire burning issue, Cargill said.

"This is a bare bones beginning," said Lou Dobbs, of the Environmental Justice Project and another neighbor of the plant. "The state and county worked hard and we appreciate that. It's a sizable fine but it could have been considerably more," Dobbs said of the negotiations that took place between September of last year and the issuance of the compliance order. "No one will ever know what was negotiated away," Cargill said.

Last month, the plant was due to submit a renewal application for its operating permit which expires in February, 2005.

Messages sent to the plant's manager, John Lohr, did not receive a response as of press time.

Violations

- ❑ **Cemex failed to** calculate emissions of particulate matter properly.
- ❑ **Cemex claimed** that a "baghouse" with 99% efficiency was being used as the primary pollution control device at the plant's A-frame when no baghouse existed for at least two years.
- ❑ **Cemex failed to** adhere to a fugitive dust control plan designed to keep cement kiln dust from being transported from the plant's property.
- ❑ **Cemex will be required** to spend \$149,840 on supplemental environmental programs at the plant.
- ❑ **Cemex maintains** that none of the violations represent a threat to human health.

The Old Lyons Recorder

ISSN #1041-195X

Award Winner
Colorado Press
2003
BEST
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Award Winner
Colorado Press
2003
BEST BUSINESS
STORY

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LOCAL NEWS

Lyons residents may breathe easier

Residents: Cement plant has made this promise before

By Aimee Heckel

Camera Staff Writer

LYONS — For the last week, Richard Cargill has been able to look at the sky without squinting through a fog of dust.

Cargill says clean air is a luxury in his neighborhood, where residents keep their windows sealed year-round, afraid of the dust that could settle on their furniture and in their lungs.

Cargill lives just east of the Lyons Cemex plant, the third-largest cement manufacturer in the world. Cemex and its neighbors have a decade-long history of butting heads. De-

spite multiple county inspections and requests for changes throughout the years, residents said little has changed — until complaints and inspections recently escalated.

On Feb. 28, after discovering multiple clean-air violations in a series of unannounced inspections, the state fined Cemex \$282,000 and required "significant" health and environmental changes.

Since then, Cemex has been quiet, the county's health department said. The street sweepers and water trucks are steadily buzzing to pacify the dust related to cement production. The former dust plume, immortalized in residents' countless photos, has settled.

"They have it under control," Cargill said. "But we've seen that before."

In 2001, residents and Ce-

In 2001, residents and Cemex signed a "memorandum of understanding" outlining steps Cemex would take to become a better neighbor. Cemex agreed to spend \$300,000 on sprinkler systems, a water truck, a street sweeper and an additional environmental employee.

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The air was clean for about three months, Cargill said. Then, residents said the dreaded dust plume began swelling again. Residents shot

Inspectors said Cemex officials had improperly documented air pollution and lied about having some pollution-control equipment.

Of the \$282,000 in state fines, \$149,000 must go into a project outlining improvements to environmental and public health.

Now with Cemex under a microscope, residents hope the recent improvements will be long-term.

"We've always asked — for a decade — for a clean plant to be a good neighbor. I think the fines may give us a good start on that," Cargill said.

Resident Anne George said she has heard enough of Cemex's "rhetoric" about how it cares about the community and its workers.

"I'd like that whole place to cease operations until we are all safe," she said.

Cemex officials did not return calls Thursday.

Contact Aimee Heckel at (303) 473-1359 or heckela@dailycamera.com.

news**The dust settles***Cemex fined for air-pollution violations**By Pamela White*

For a decade, people who live near the cement plant outside of Lyons have complained to state and county health officials about clouds of cement dust that waft over their properties. The corrosive dust has polluted their homes and even stripped the paint from their cars, they say.

On Monday, Feb. 23, state air-pollution officials slapped cement giant Cemex with more than \$282,000 in fines and other fees for violations of state air-pollution regulations pertaining to dust control and particulate emissions. A state official says that the nature of the violations indicates that Cemex may have a problem managing its environmental-compliance program.

The fines are a result of a series of unannounced state inspections that began in March 2003 and continued through the summer and mark the most recent chapter in a history of conflict between Mexican-owned Cemex and its neighbors. That conflict came to a peak this past fall when a whistleblower from Cemex presented the state and Boulder Weekly with videotapes showing deep piles of dust in and around the facility, some of them waist-high. The whistleblower's actions resulted in a month-long inspection of the plant by worker-safety officials from the Mining Safety and Health Administration (MSHA), a branch of the U.S. labor department. MSHA issued citations as a result of that inspection, but the reports are not yet available to the public.

For Richard Cargill and the St. Vrain Valley Community Watchdogs, an activist group that has formed around the issue of dust control at Cemex, the state's announcement was welcomed as a big step in the right direction.

"I think this is adequate to get this place cleaned up, and that's all we've ever asked for," says Cargill, spokesman for the group.

Cargill also praises officials from the county board of health and the county health department for taking their concerns to the state and the state health department for following through on those concerns. But he acknowledges that the persistence of neighbors in reporting dust complaints also played a role.

"This has been going on for about a decade," he says of the activists' efforts. "I think we have a feeling of accomplishment on this."

According to a compliance order signed last week by both state and Cemex officials, violations ranged from visible dust emissions in excess of state limits to incorrectly calculating particulate pollution from a variety of sources to claiming for two years to have a dust-control sys-

tem on one of their buildings while, in fact, such a system was not functioning.

Paul Carr, the inspector who made several unannounced visits to the plant, said no single violation could be considered more serious than the others.

"I would say all the violations on there are serious in nature," he said. "If they weren't we wouldn't be pursuing an enforcement action with regard to Cemex. In terms of which ones are worse, it's kind of a tough call because they're all air-pollution, emission-related violations, so essentially they all carry the same weight in terms of [seriousness]."

Carr says he is satisfied with the outcome of the process, the purpose of which is ultimately to bring the company into compliance with air-pollution laws. The enforcement action netted the biggest fine of any enforcement action Carr has participated in during his 2.5 years with the Air Pollution Control Division but is far from the biggest fine in the state's history. The monetary penalties include \$37,460 in administrative penalties, \$94,839 for deriving economic benefit from violating regulations and at least \$149,849 to be spent on a "supplemental environmental program," the nature of which must still be negotiated.

According to state records, past penalties against Cemex have not exceeded \$10,000, making this the Lyons plant's largest fine to date.

"I think for the most part all of the violations have been corrected, and for the ones that have not been corrected they've got a plan in effect to correct them before the equipment goes back on line," Carr says.

Margie Perkins, director of the Air Pollution Control Division of the state health department, says the real issue at Cemex is one of overall management of environmental compliance.

"If I were to characterize it, I think that that's fair to say—that just the overall environmental management here is a question," she says. "We've identified several things, and we hope that as they move forward looking at these specific items that this will help strengthen and improve their overall environmental-compliance management system."

John Lohr, plant manager for Cemex, says he believes the settlement is in line with other settlements involving industry in Colorado.

"It's a fairly common process for companies to work through with the [Colorado Department of Public Health and Environment], and I think it was a good method to identify issues and to identify what the operation improvements would be," Lohr says. "The laws, the regulations are extremely complex, and the

company did make some errors in the interpretation of some of those."

Lohr says Cemex has made many improvements to the plant and its operating procedures. Among the commitments the company has made is a dust-collection system for its A-frame building.

"We tried to make improvements to the plant, to our operating procedures, to the way that we staff and assign responsibilities, and I'm confident that we have addressed the issues and the problems," Lohr says. "We've committed to making some improvements on the equipment. We're going through the permitting process... In the meantime, we've made a lot of changes to the operation, including doubling the hours of the sweeper and the water truck operation, reassigning personnel, being more specific about their tasks and responsibilities."

The company also has a new environmental compliance manager, Lohr says.

"That individual has that authority—and, in fact, all the way down to our hourly employees, they have always had the authority—to shut down operations to do what is necessary to ensure compliance," he says.

But neighbors say this should be only the beginning of close scrutiny by regulators of Cemex's operations.

"For the regulatory community, for the state and for the county, it's a very good beginning, and we look forward to even closer scrutiny in the future," says Lou Dobbs, who has lived next to Cemex for eight years.

Dobbs says the fine itself is insignificant.

"Cemex is a \$6.5-billion company, and this is just pocket change," she says. "The thing that really makes me craziest of all is that they refused to take responsibility for the harm they continue to inflict upon the community."

At issue for her and other neighbors is the cement company's overall credibility. They point to the violation regarding the A-frame dust-collection system, which the company claimed to have in place from April 1, 2001, through August 2003, but which state regulators say was not operational, as an example of the company not dealing honestly with the community or the state.

"Actions always speak louder than words, and Cemex's actions really do tell the story," says Ken Dobbs. "This is the same company that burned almost 90 million gallons of hazardous solvents and contaminated oils for fuel from 1975 through 1991, without a permit... and now they want to burn tires for fuel and say they can safely do this."

Cemex has been working to burn tires in its kiln for the past couple of years but has faced significant opposition from neighbors and environmental groups, including the Sierra Club, which last year filed a lawsuit to stop tire-burning. The issue is now in court, with a decision expected this summer.

"In both cases of dust control and tire incineration, they are determined by process controls and good management practices," Cargill says. "We've been saying all along that if the management practices and process controls for fugitive dust are lacking, what makes any of us think the process controls and management practices for tire incineration will be any better? And why take a chance?"

But Lohr says Cemex is committed to being a good neighbor.

"Our neighbors' opinions are theirs," he says. "All I can say is we have an extremely complex operation out here. The regulations are very complex, and we strive to be in compliance with the letter and the spirit of everything." ■

Respond: letters@boulderweekly.com